

Closing the GAAP

Copyright, Fair Use, and Public Access to FASB's Accounting Standards Codification

Michael J. Bommarito II¹

September 14, 2026

Working paper — draft; comments welcome

Abstract

Should a teacher need permission to put an accounting rule on a lecture slide? Should an attorney be barred from linking to the text that supports their advice? The Financial Accounting Foundation's (FAF) access terms impose just such restrictions on generally accepted accounting principles (GAAP), which U.S. law requires public companies and many private businesses to follow. The Financial Accounting Standards Board (FASB) sets out those standards in its Accounting Standards Codification (ASC), and federal law references GAAP, FASB, or the ASC in over 800 sections across 39 titles of the CFR and 16 titles of the U.S. Code. That reach makes access to the ASC a question of public law across the economy. The text is needed before an organization even knows which rules govern it: current scope rules, exceptions, and effective dates tell it whether a Topic applies at all. Yet FAF's free viewer is licensed only for personal, non-commercial use. Controllars, auditors, advisers, and even educators cannot rely on that grant as permission for their professional use. Limits on preserving, linking to, and sharing the text make this first determination costlier, especially for smaller organizations that need outside advice. These access costs compound the compulsory issuer assessments that already fund standard setting, imposing an economic burden that spreads through prices, wages, and investment returns. This Article argues that the public must have access to the complete standards required both to determine its obligations and to comply with them. Both fair use and the courts' decisions on standards adopted into law support sharing that text in full. The public that must follow and finance these rules must also be free to preserve, share, study, and explain them.

Keywords: accounting standards, FASB, Accounting Standards Codification, GAAP, government edicts doctrine, fair use, incorporation by reference, copyright preemption, fair notice, public access to law, Sarbanes-Oxley Act

JEL classification: K11, K22, K23, M41, M48

¹Corresponding author: michael.bommarito@gmail.com. Portions of this work were prepared with assistance from large language models. The author is solely responsible for all content, including any errors or omissions.

1. WHY ACCESS TO THE ASC MATTERS

When government requires compliance with an accounting framework, access to that framework becomes a condition of knowing and following the law. The public must have immediate, unencumbered access to the complete current substantive *Accounting Standards Codification* (ASC), including the freedom to preserve, share, study, and apply it. Government cannot make compliance compulsory while leaving those uses dependent on a private publisher's permission.

That problem is not confined to one regulator. Federal requirements to use generally accepted accounting principles (GAAP) span practically every sector of the economy across both public and private companies. The examples here include public-company reporting, banking and Farm Credit supervision, Small Business Administration (SBA) lending, federal student aid, and performance-based defense payments. Their coverage differs, but the public problem is shared: the accounting rules supply content that the legal command alone does not reveal.²

The inventory documents 785 distinct CFR section or appendix citations across 39 CFR titles and 83 U.S. Code section citations across 16 U.S. Code titles. Of those CFR citations, 76 expressly name FASB or the ASC, rather than only GAAP. The federal reliance on accounting standards extends far beyond SEC filings. Three Education Department regulations go further: they formally incorporate specified ASC material, with dated editions and the Director of the Federal Register's approval. The broader inventory records different kinds of references and duties, but those three are direct legal uses of ASC text.³ Section 3 tests the legal force of particular provisions; Appendix A explains the collection and its limits.

One reader shows what that reach means in practice. A credit union director seeking an accountant's explanation of a capital requirement needs more than the regulation's words. Congress requires covered insured credit unions to report under principles consistent with GAAP, and the capital regulation expressly identifies the

² Form, order, and terminology, 17 C.F.R. § 210.4-01(a)(1) (2018) (Regulation S-X; eCFR text as of title 17 issue date 2026-09-08), URL: <https://www.ecfr.gov/current/title-17/section-210.4-01> (visited on 09/11/2026); Early identification of needed improvements in financial management, 12 U.S.C. § 1831m(b)(1) (1991) (FDICIA § 112; OLRC prelim edition), URL: <https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title12-section1831m&num=0&edition=prelim> (visited on 09/11/2026); Accounting and Reporting Requirements, 12 C.F.R. §§ 621.2, 621.3 (1993) (Farm Credit Administration, 58 Fed. Reg. 48786 (Sept. 20, 1993); eCFR text as of title 12 issue date 2026-09-08), URL: <https://www.ecfr.gov/current/title-12/part-621> (visited on 09/11/2026); Regulatory accounting—What are SBA's regulatory accounting requirements for SBA Supervised Lenders? 13 C.F.R. § 120.463(a) (2008) (eCFR text as of title 13 issue date 2026-08-31; section 120.463 last substantively amended 73 FR 75513, Dec. 11, 2008), URL: <https://www.ecfr.gov/current/title-13/section-120.463> (visited on 09/12/2026); Compliance audits and audited financial statements, 34 C.F.R. § 668.23(d)(1) (2023) (eCFR text as of title 34 issue date 2026-09-09), URL: <https://www.ecfr.gov/current/title-34/section-668.23> (visited on 09/11/2026); Payment, 10 U.S.C. § 3802(c)(1) (2021) (OLRC prelim edition), URL: <https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title10-section3802&num=0&edition=prelim> (visited on 09/12/2026).

³ 34 C.F.R. § 668.23(i); Financial ratios, 34 C.F.R. § 668.172(e) (2022) (eCFR text as of title 34 issue date 2026-09-09), URL: <https://www.ecfr.gov/current/title-34/section-668.172> (visited on 09/11/2026); Alternative standards and requirements, 34 C.F.R. § 668.175(i) (2023) (eCFR text as of title 34 issue date 2026-09-09), URL: <https://www.ecfr.gov/current/title-34/section-668.175> (visited on 09/11/2026).

Codification as GAAP's source. The accountant needs the rule, its exceptions, and the text that supports the advice. A student examining the same issue needs to preserve and compare those sources. These ordinary uses explain why viewing a rule is not enough.⁴

The director cannot always know which ASC Topic governs before consulting its scope rules. A new transaction may require the accountant to compare current definitions, exceptions, and effective dates across Topics before concluding that one does not apply. Restrictions on saving the relevant text, linking a colleague to it, or sharing it with an outside adviser add work to that inquiry. An organization must spend more staff time finding and checking the rules or pay an adviser equipped to do so. Smaller advisers cannot readily compete on equal terms if they cannot preserve and discuss the same sources.⁵

Those costs land on top of a charge Congress already imposes. Issuers pay for standard setting through an assessment that functions economically like an earmarked tax. Restricted access adds to that burden. The added cost passes beyond issuers and the organizations buying advice to investors, customers, and workers through the prices and returns of an economy built on GAAP reporting.⁶

That economy runs on standards one body writes and another licenses. The Financial Accounting Standards Board (FASB) develops the standards. Its parent, the Financial Accounting Foundation (FAF), controls their licensing. The Securities and Exchange Commission (SEC) recognizes the standard setter; statutes and regulations impose the reporting duties. FAF offers viewing without charge for personal, non-commercial use. That grant does not cover the ordinary professional work for which issuers, auditors, and advisers need the ASC. A professional reader must seek separate permission or use a licensed service; the free viewer does not supply permission to use the rulebook for compliance work. A free channel that excludes the compliance use supplies notice of the law on a condition that defeats its purpose, a fair-notice problem that Sections 4.6 and 6.1 develop. Its terms also restrict copying a passage or linking to

⁴ Administration of insurance fund, 12 U.S.C. § 1782(a)(6)(C) (1998) (OLRC prelim edition), URL: <https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title12-section1782&num=0&edition=prelim> (visited on 09/11/2026); Definitions, 12 C.F.R. § 702.2 (2021) (NCUA capital adequacy; eCFR text as of title 12 issue date 2026-09-08), URL: <https://www.ecfr.gov/current/title-12/section-702.2> (visited on 09/11/2026).

⁵ Financial Accounting Foundation, *License Agreement, updated as of 10.10.24*, Terms presented for acceptance on entry to the FASB Accounting Standards Codification, October 10, 2024, URL: <https://asc.fasb.org/> (visited on 09/10/2026) § 2; Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, *supra* note 5, § 3(c)(i).

⁶ Funding, 15 U.S.C. §§ 7219(e), (g) (2010) (SOX § 109, as amended by Dodd-Frank § 982(h); OLRC prelim edition, laws in effect Sept. 10, 2026), URL: <https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title15-section7219&num=0&edition=prelim> (visited on 09/11/2026).

a specific Topic. Those restrictions impede teaching, source checking, and professional explanation.⁷

The central inference is that a general conformity mandate selects the integrated rulebook. Its definitions, scope rules, exceptions, and effective dates decide which provisions govern as an entity's circumstances change. The legal command cannot give a complete answer without the current text that supplies those decisions. That copy is the complete current substantive Codification, not publisher software, independent commentary, or unrelated material hosted alongside it. Sections 3.2 and 3.3 establish that inference and its boundaries.

Copyright law then determines whether readers may reproduce that rulebook. Two questions must be kept apart. The first is authorship: FASB wrote the standards as a private body, and nothing here disputes that its text was copyrightable when written. The second is what government did with that text afterward: it made conformity a legal duty. The government-edicts doctrine, the rule that no one can own the law, and the cases on privately drafted codes adopted as law ask whether that adoption changes the public's rights in the text, whoever wrote it. Fair use, the statutory limitation that permits justified uses without the owner's consent, supplies a second route if private copyright survives adoption. Both routes support complete publication. The market analysis must then confront two facts. Current text can compete with licensed access, but currentness also makes that text necessary for present compliance. And FAF is the sole source of that text: every other service that carries the ASC does so under FAF's license. That is a monopoly over the law itself, not the contest in which Westlaw, Lexis, and their rivals publish the same public-domain opinions. Private promises raise a separate question of preemption: whether federal law displaces a state-law restriction on otherwise lawful use.⁸

These questions are not new. Lawrence Cunningham identified the accounting-law access problem before the modern Codification. Since then, FASB consolidated authoritative nongovernmental GAAP in 2009, courts decided new standards cases, and FAF opened personal-use viewing under a restrictive license in 2023. Those changes sharpen Cunningham's question. The federal-reference inventory documents

⁷ Financial Accounting Standards Board, *Financial Accounting Standards Board Financial Statements for the Years Ended December 31, 2025 and 2024*, Financial Accounting Foundation, 2026, URL: <https://storage.accountingfoundation.org/FASB%20Audited%20Financial%20Statements%2025%20and%202024.pdf> (visited on 09/12/2026) at 7–8; Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5, §§ 2, 3(c)(i); Financial Accounting Foundation, *Financial Accounting Foundation Debuts Enhanced Free Access to Online Accounting Standards Codification and Governmental Accounting Research System*, News release, Norwalk, Conn. February 27, 2023, URL: [https://accountingfoundation.org/news-and-meetings/in-the-news/financial-accounting-foundation-debuts-enhanced-free-access-to-online-accounting-standards-codification\(r\)-and-governmental-accounting-research-systemtm-410212](https://accountingfoundation.org/news-and-meetings/in-the-news/financial-accounting-foundation-debuts-enhanced-free-access-to-online-accounting-standards-codification(r)-and-governmental-accounting-research-systemtm-410212) (visited on 09/11/2026).

⁸ *Georgia v. Public.Resource.Org, Inc.*, 590 U.S. 255, 265–69 (2020) (Roberts, C.J.; Thomas, J., dissenting; Ginsburg, J., dissenting), URL: https://www.supremecourt.gov/opinions/19pdf/590us1r30_3f14.pdf (visited on 09/11/2026); Limitations on exclusive rights: Fair use, 17 U.S.C. § 107 (2024), URL: <https://www.govinfo.gov/content/pkg/USCODE-2024-title17/pdf/USCODE-2024-title17-chap1-sec107.pdf> (visited on 09/12/2026); Preemption with respect to other laws, 17 U.S.C. § 301 (2024), URL: <https://www.govinfo.gov/content/pkg/USCODE-2024-title17/pdf/USCODE-2024-title17-chap3-sec301.pdf> (visited on 09/12/2026).

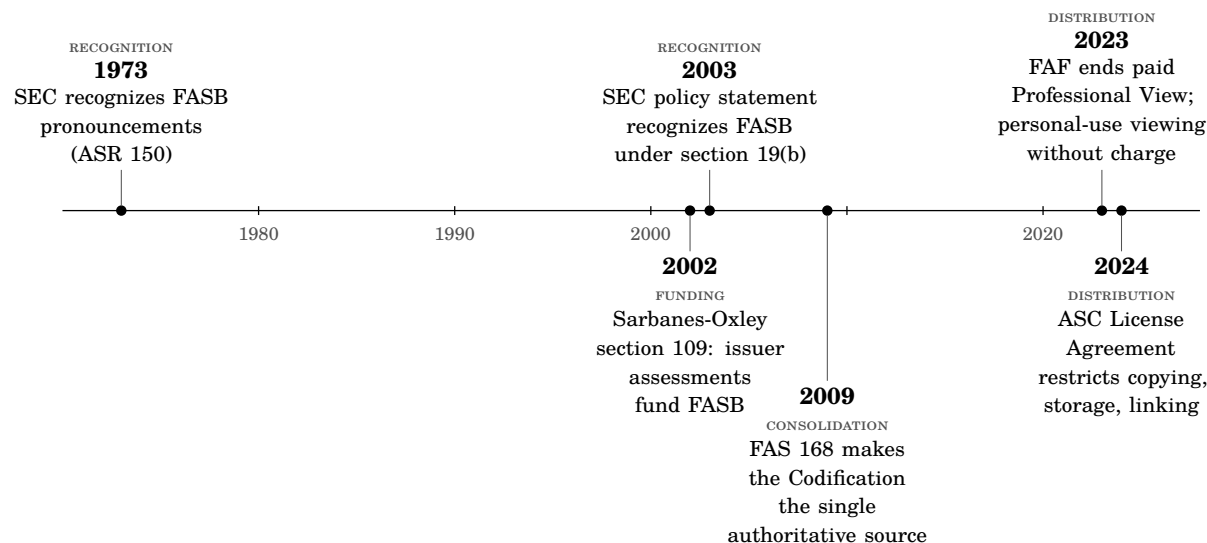


FIGURE 1: Four institutional choices, 1973–2024: recognition, funding, consolidation, and distribution.

the issue's reach; the funding and oversight record explains the institutional choices behind it.⁹

The analysis reads statutes, regulations, and decisions alongside the federal reference inventory and records of funding, governance, and access. The effects of restricted access on advice costs and educational outcomes require empirical study. Public bodies must secure access to mandatory rules. Standard setters and publishers can sell expertise and services without controlling every use of the rules.

Section 2 traces how FASB, FAF, and the SEC took on those roles. Section 3 demonstrates the legal rulebook's scope. Section 4 develops the copyright arguments, including current-edition substitution. Section 5 tests the terms and their enforcement. Section 6 identifies how public institutions and FAF can secure reliable delivery and reuse.

2. HOW THE ASC BECAME AUTHORITATIVE

The access problem developed through successive institutional choices: public recognition of private standards, protected funding for their production, consolidation into an authoritative rulebook, and distribution under FAF's terms. Figure 1 places those choices in time.

⁹ Lawrence A. Cunningham, *Private Standards in Public Law: Copyright, Lawmaking and the Case of Accounting*, 104 Mich. L. Rev. 291, 323–24 (2005), URL: <https://repository.law.umich.edu/mlr/vol104/iss2/15> (visited on 09/11/2026).

2.1 Private standards and public authority

The institutional connection predates the Sarbanes-Oxley Act of 2002 (Sarbanes-Oxley). In 1973, the SEC recognized FASB pronouncements as authoritative unless the Commission determined otherwise. Its 2003 release expressly describes that history and updates Accounting Series Release No. 150. Congress supplied statutory recognition criteria in 2002 for this existing reliance on private standards.¹⁰

Section 19(b) of the Securities Act of 1933 (Securities Act) authorizes the Commission to recognize principles established by a qualifying private standard setter as generally accepted for securities-law purposes. The criteria address organization, funding, public-interest governance, responsiveness to changing business conditions, and capacity to improve financial reporting. Congress preserved the Commission's final accounting authority. The SEC's release also acknowledges that it may recognize more than one private standard setter.¹¹

In April 2003, the Commission determined that the Financial Accounting Standards Board and its parent Foundation met the statutory criteria. Its policy statement connected recognition to registrants' continuing duty to comply with FASB standards when preparing financial statements filed with the Commission, unless the Commission directed otherwise. Such a connection forms a legal chain: a recognized source paired with an operative reporting duty. The Commission expressly characterized the release as a policy statement, not an agency rule requiring notice and comment under the Administrative Procedure Act.¹²

The release also directs an update to the SEC's separate Codification of Financial Reporting Policies, which it says will not be published in the Federal Register or Code of Federal Regulations. That compilation is a separate SEC-maintained document. The reporting statutes and regulations supporting the legal chain stand regardless of where that compilation is published.¹³

¹⁰ U.S. Securities and Exchange Commission, *Commission Statement of Policy Reaffirming the Status of the FASB as a Designated Private-Sector Standard Setter*, Policy Statement Release Nos. 33-8221; 34-47743; IC-26028; FR-70, published at 68 Fed. Reg. 23333 (May 1, 2003), Securities and Exchange Commission, April 25, 2003, URL: <https://www.sec.gov/rules/policy/33-8221.htm> (visited on 09/11/2026) Summary and Part I.

¹¹ Special powers of Commission, 15 U.S.C. § 77s(b)(1) (2002) (OLRC prelim edition; text current through laws in effect Sept. 10, 2026), URL: <https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title15-section77s&num=0&edition=prelim> (visited on 09/11/2026); Accounting standards, 15 U.S.C. § 7218(c) (2002) (OLRC prelim edition; text current through laws in effect Sept. 10, 2026), URL: <https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title15-section7218&num=0&edition=prelim> (visited on 09/11/2026); U.S. Securities and Exchange Commission, *SEC Release No. 33-8221*, supra note 10, Part I n.5.

¹² U.S. Securities and Exchange Commission, *SEC Release No. 33-8221*, supra note 10, Summary and Part III.

¹³ Id. Part IV.

2.2 Funding and licensing revenue

Section 109 of Sarbanes-Oxley makes the recognized standard setter's budget payable from accounting support fees assessed against issuers. The statute seeks an independent and stable funding source, provides for Commission review of the fee, and permits publication sales and other revenue on the condition that they do not jeopardize independence. Congress preserved a private standard setter: the statute declares the receipts not to be public monies. Legal classification is all the designation settles. Who bears their cost, and who holds copyright in the rulebook they finance, are separate questions. Federal law makes the receipts compulsory charges assessed against issuers.¹⁴

Congress chose that design for a reason. In its 2002 funding proposal, the SEC identified a concern broader than voluntary donations: accounting firms and corporations could influence available funds by reducing publication purchases as well as contributions. It contemplated mandatory funding with reduced or eliminated publication charges, but also asked whether only donations should be replaced. Congress ultimately preserved publication income, provided each additional source does not, in the Commission's judgment, jeopardize actual and perceived independence.¹⁵

Whether that condition is met depends on how money moves between parent and board. Standard setting and publishing are distinct financial activities. The FASB-only financial statements exclude FAF's publishing and licensing revenues and expenses. They nevertheless record FAF allocations and explain the use of reserves to reduce support-fee collections. Separate reporting falls short of financial isolation between parent and board.¹⁶

Maintaining authoritative accounting guidance necessarily involves work on the Codification. That leaves open which revenue stream pays for each historical development cost, software expense, licensed product, and accompanying publication. The Foundation's older accounts separately identified Codification-project expenses within its publication activity.¹⁷

Whatever the allocation, the assessment functions economically as a tax earmarked for standard setting. Congress selects a broad base of covered issuers across indus-

¹⁴ 15 U.S.C. §§ 7219(c)(1), (e), (g), (j) ; U.S. Securities and Exchange Commission, Order Regarding Review of FASB Accounting Support Fee under Section 109 of the Sarbanes-Oxley Act Of 2002, Release Nos. 33-8263, 34-48277 (August 1, 2003), URL: <https://www.sec.gov/files/rules/other/33-8263.htm> (visited on 09/12/2026).

¹⁵ U.S. Securities and Exchange Commission, Framework for Enhancing the Quality of Financial Information Through Improvement of Oversight of the Auditing Process, 67 Fed. Reg. 44964, 44979–80 (July 5, 2002) (Proposed rule; Release No. 33-8109, June 26, 2002), URL: <https://www.govinfo.gov/content/pkg/FR-2002-07-05/pdf/02-16539.pdf> (visited on 09/12/2026); 15 U.S.C. § 7219(j) .

¹⁶ Financial Accounting Standards Board, *FASB Audited Financial Statements (2025)*, supra note 7, at 5, 7–8.

¹⁷ Financial Accounting Foundation, *Financial Accounting Foundation Financial Statements for the Years Ended December 31, 2025 and 2024*, Financial Accounting Foundation, 2026, URL: <https://storage.accountingfoundation.org/FAF%20Audited%20Financial%20Statements%202025%20and%202024.pdf> (visited on 09/11/2026); Financial Accounting Foundation, *2008 Annual Report*, Financial Accounting Foundation, 2009, URL: https://storage.accountingfoundation.org/FAF_2008_AR.pdf (visited on 09/11/2026).

tries and allocates the charge by equity market capitalization. Those issuers connect capital markets to production, employment, and household investment. Paying the assessment reduces resources available to their owners or prompts adjustments in prices, compensation, and investment, so the burden spreads beyond the organizations that remit the fee.¹⁸

Economic incidence identifies who ultimately bears a charge, as distinct from who must pay it. Fullerton and Metcalf explain how changes in prices and returns distribute tax burdens among consumers, workers, and owners of capital. Applied here, that reasoning places the cost of standard setting within the wider economy. Even when shareholders absorb the charge, the burden reaches investors, including households investing through retirement funds. The conclusion holds whether shareholders absorb the fee or companies pass part of it to customers. The division among investors, workers, and customers depends on market conditions and requires empirical study. The claim concerns a diffuse financing burden distributed through ordinary market channels.¹⁹

Empirical studies document these transmission channels. Fuest, Peichl, and Siegloch use German municipal tax changes and linked employer–employee data to identify a wage burden from corporate taxation. Baker, Sun, and Yannelis link retail prices to producers’ state corporate-tax exposure and find that consumers bear part of the burden through higher prices.²⁰

The larger cost may be the one no invoice records. When competing websites, search tools, and explanations depend on permission to reuse the same text, every reader who cannot find, save, or understand a rule pays in time and in weaker advice, and that friction repeats across the entire economy that must use the rules. Nor does the friction stop at the reader. Rules that are harder to find and learn can be more often misapplied, and the statements that result are the furnished information on which every public and private market prices securities, extends credit, and values a business. The assessment is a line item; the friction and the weaker markets are not.

2.3 The Codification as one rulebook

In 2009, FASB Statement No. 168 established the Codification as the source of authoritative nongovernmental, non-SEC accounting principles. It replaced the earlier hierarchy with a distinction between authoritative material and nonauthoritative material, meaning guidance that may inform an accounting judgment without itself carrying authority. The Codification’s guidance carries equal authority. SEC rules

¹⁸ 15 U.S.C. §§ 7219(e), (g) .

¹⁹ Don Fullerton and Gilbert E. Metcalf, *Tax Incidence*, NBER Working Paper 8829, National Bureau of Economic Research, March 2002, URL: https://www.nber.org/system/files/working_papers/w8829/w8829.pdf (visited on 09/12/2026) at 1–3.

²⁰ Clemens Fuest, Andreas Peichl, and Sebastian Siegloch, *Do Higher Corporate Taxes Reduce Wages? Micro Evidence from Germany*, 108 *American Economic Review* 393, abstract (2018), URL: <https://www.aeaweb.org/articles?id=10.1257/aer.20130570> (visited on 09/12/2026); Scott R. Baker, Stephen Teng Sun, and Constantine Yannelis, *Corporate Taxes and Retail Prices*, NBER Working Paper 27058, Originally issued April 2020; revised March 2023, National Bureau of Economic Research, March 2023, URL: https://www.nber.org/system/files/working_papers/w27058/w27058.pdf (visited on 09/12/2026) at 2–4.

and interpretive releases remain additional authoritative sources for registrants, and the Statement preserves qualifications concerning grandfathered literature.²¹

The Commission responded to this consolidation in its 2009 interpretive release. It directed readers to understand existing references to specific superseded standards as references to their corresponding locations in the Codification. It also expressly preserved Commission rules and distinguished SEC material reproduced in the Codification from the government's authoritative sources. The release connects old and new references within the reporting duties described in Section 2.1.²²

2.4 Personal-use viewing and licensing

The SEC's Investor Advisory Committee recommended eliminating significant access fees in 2022. FAF announced what it called "enhanced free access" the following year; the record leaves the recommendation's influence on that decision unestablished.²³

In February 2023, FAF replaced the paid Professional View services for the ASC and the Governmental Accounting Research System (GARS) with what it called "enhanced free access." A Basic View without charge already existed. The change expanded search, navigation, printing, and copying for personal-use viewing; it did not create unrestricted public reuse.²⁴ Nor did it open the service to professional use. The landing page offers the Codification "For Personal and Non-Commercial Use," and the license agreement behind it repeats the limit: access is licensed "for personal uses only," and use "for commercial purposes" is prohibited. Neither term is defined. Anyone with other uses is directed to write to FAF for permission, which is the licensing channel the following paragraphs describe.²⁵

FASB's September 2024 staff memo described Codification access as free for "all stakeholders." The same memo named preparers and practitioners among the stake-

²¹ Financial Accounting Standards Board, *The FASB Accounting Standards Codification and the Hierarchy of Generally Accepted Accounting Principles—a replacement of FASB Statement No. 162*, Statement of Financial Accounting Standards No. 168, Financial Accounting Series No. 312; effective for periods ending after Sept. 15, 2009, Financial Accounting Standards Board, June 2009, URL: <https://storage.fasb.org/fas168.pdf> (visited on 09/11/2026) Summary; ¶ 6.

²² U.S. Securities and Exchange Commission, *Commission Guidance Regarding the Financial Accounting Standards Board's Accounting Standards Codification*, Interpretive Release Nos. 33-9062A; 34-60519A; FR-80A, effective Aug. 25, 2009; published at 74 Fed. Reg. 42772 (Aug. 25, 2009), Securities and Exchange Commission, August 19, 2009, URL: <https://www.sec.gov/files/rules/interp/2009/33-9062a.pdf> (visited on 09/11/2026).

²³ U.S. Securities and Exchange Commission, Investor Advisory Committee, *Recommendation of the Investor Advisory Committee Regarding Accounting Modernization*, Approved by the Investor Advisory Committee at its September 21, 2022 meeting; presented by Prof. Colleen Honigsberg, U.S. Securities and Exchange Commission, September 21, 2022, URL: <https://www.sec.gov/spotlight/investor-advisory-committee-2012/20220921-accounting-recommendation.pdf> (visited on 09/11/2026); Financial Accounting Foundation, *FAF, Free Access Press Release*, supra note 7.

²⁴ Financial Accounting Foundation, *FAF, Free Access Press Release*, supra note 7.

²⁵ Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5, §§ 2, 3(a)(j); Workstream 04 research file, *Technical gating of the FAF's hosts: probe results*, research/04-fasb-faf/downloads/ (plain-curl capture, headless-browser capture, robots.txt probe), September 11, 2026.

holders whose views FASB sought. That account of access sits uneasily with a license limited to personal use.²⁶

Personal-use viewing is also only as good as the site that delivers it. For fourteen years the Basic View offered browsing with no search at all, and from late 2019 no printing; search arrived only with the 2023 change. FAF's January 2024 promise of "a more robust search algorithm" concerned its redesigned organizational websites, not the separate Codification viewer. The ASC viewer's search works like literal token matching rather than the synonym, field, and concept retrieval familiar from commercial research services. On September 13, 2026, a search for "cryptocurrency" returned nothing, although Subtopic 350-60 governs crypto assets; a search for "crypto" returned Sections of Topics 350, 270, 958, and 230, but not Subtopic 350-60 itself. In the author's experience in industry and academia, a common view is that the site is either severely antiquated or deliberately crippled: uptime is poor, browser and mobile support is limited, and the bot-management script regularly blocks innocent students trying to read the rules.²⁷

The October 10, 2024 ASC License Agreement and the separate website terms preserved in September 2026 govern different aspects of access and use. The website terms already contained an artificial-intelligence restriction in March 2024. Some restrictions therefore predate the agreement. Its copying, storage, linking, and termination provisions are examined together in Section 5.1.²⁸

FAF's audited accounts document the continuing licensing business. It reported FASB-content licensing revenue of \$19.138 million in 2025 and \$19.191 million in 2024. Its stated performance obligation includes continuing access to current content. These receipts cannot be dismissed as a vanished reader-subscription business.²⁹ The same line was \$17.903 million in 2022 and \$17.023 million in 2023. The later recovery shows

²⁶ Financial Accounting Standards Board Staff, *2024 Agenda Consultation: Content Development Outreach*, PCC public meeting memorandum, Topic 6, September 24, 2024, pp. 1–5, URL: <https://storage.fasb.org/PCC-Topic%206%20AgendaConsultation-20240924.pdf> (visited on 09/13/2026) at 1, 3.

²⁷ Financial Accounting Standards Board, *Codification Access, Access Views | User Configurations | Pricing*, Legacy page still live on fasb.org as of 11 September 2026, three and a half years after the product it describes was abolished, 2026, URL: <https://fasb.org/page/PageContent?pageId=/static/pages/codification-access.html&isStaticPage=true> (visited on 09/11/2026); Financial Accounting Foundation, *FAF, Free Access Press Release*, supra note 7; Financial Accounting Foundation, *Financial Accounting Foundation Launches Redesigned Website for the Financial Accounting Standards Board*, Media advisory, Norwalk, Conn. January 23, 2024, URL: https://accountingfoundation.org/page/getarticle?uid=faf_MediaAdvisory-01-23-24 (visited on 09/11/2026); Financial Accounting Standards Board Staff, supra note 26, at 3.

²⁸ Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5; Financial Accounting Foundation, *FAF/FASB/GASB Website ("Site") Terms and Conditions, v2.1, effective as of July 30, 2026*, July 30, 2026, URL: <https://accountingfoundation.org/terms-of-use> (visited on 09/11/2026).

²⁹ Financial Accounting Foundation, *FAF Audited Financial Statements (2025)*, supra note 17, at 11.

that personal-use viewing coexisted with a substantial licensing business. Unrestricted public copying is a different change, and its effect remains untested.³⁰

FAF records these receipts in its own accounts. The licensing note describes payment arrangements based on users, sublicenses, and negotiated fees. Individual customers' shares remain undisclosed, preventing an assessment of dependence on any named firm or group of firms.³¹

Licensing creates a second cost channel alongside the compulsory assessment. An accounting practice or law firm that buys licensed content, directly or through a research service, incurs a cost of supplying advice, and it recovers that cost from clients or absorbs it in lower returns and pay. The channel reaches Big Four networks, smaller firms, and their clients alike.³²

Both channels are paid by the same public. The access question is why the public that finances mandatory rules should also face private restrictions on teaching, sharing, and explaining them.

2.5 Oversight and safeguards

Under section 7219(j), each additional revenue source must not jeopardize actual and perceived independence, in the Commission's judgment. For the accounting standards at issue here, FASB is the recognized standard setter; FAF is the parent responsible for its oversight, finances, and appointments. The SEC's own practice connects those roles. Its 2026 fee order expressly considered the interrelated budgets of FAF, FASB, and the Governmental Accounting Standards Board (GASB) in discussing the additional-revenue condition. A 2012 SEC staff report describes review of supporting documents, discussions with FAF personnel, and Commission review of additional revenues. Licensing receipts recorded at the parent therefore remain within this inquiry.³³

The current order approved the support fee and recorded FAF's representation that none of the three bodies accepts contributions from the accounting profession. The published record leaves the assessment of individual licensing contracts, and the past

³⁰ Financial Accounting Foundation, *Financial Accounting Foundation Financial Statements for the Years Ended December 31, 2023 and 2022*, Financial Accounting Foundation, 2024, URL: <https://storage.accountingfoundation.org/FAF%20Audited%20Financial%20Statements%202023%20and%202022.pdf> (visited on 09/11/2026) at 7; Financial Accounting Foundation, *FAF Audited Financial Statements (2025)*, supra note 17, at 11.

³¹ Financial Accounting Foundation, *FAF Audited Financial Statements (2025)*, supra note 17, at 11; Financial Accounting Standards Board, *FASB Audited Financial Statements (2025)*, supra note 7, at 7.

³² Financial Accounting Foundation, *FAF Audited Financial Statements (2025)*, supra note 17, at 11.

³³ 15 U.S.C. § 7219(j); U.S. Securities and Exchange Commission, Order Regarding Review of FASB Accounting Support Fee for 2026 Under Section 109 of the Sarbanes-Oxley Act of 2002, 91 Fed. Reg. 12035 (March 11, 2026) (Release Nos. 33-11410, 34-104943, March 6, 2026), URL: <https://www.govinfo.gov/content/pkg/FR-2026-03-11/html/2026-04725.htm> (visited on 09/12/2026); Staff of the U.S. Securities and Exchange Commission, *Work Plan for the Consideration of Incorporating International Financial Reporting Standards into the Financial Reporting System for U.S. Issuers: Final Staff Report*, U.S. Securities and Exchange Commission, July 13, 2012, URL: <https://www.sec.gov/spotlight/globalaccountingstandards/ifrs-work-plan-final-report.pdf> (visited on 09/12/2026) at 54–55.

and present revolving door of firm personnel, unexplained. Section 6.7 develops the resulting oversight proposal.³⁴

FAF also maintains governance safeguards. FAF's 2025 trustee code addresses apparent conflicts, indirect interests, disclosure, and nonparticipation in affected decisions. Disclosures, minutes, and any waivers would show how these protections operate in practice. The code permits waivers; the record identifies none granted in a licensing matter.³⁵ Professional experience alone is not disqualifying. The recognition statute requires a trustee majority without specified current or recent accounting-firm affiliations.³⁶

The institutional bargain is plain: public law recognizes the standards and funds their production, while FAF controls the terms on which the public can keep and share the finished rulebook.

3. THE ASC AS A LEGAL RULEBOOK

Federal law uses GAAP across hundreds of provisions catalogued in Appendix A. Public-company reporting supplies the clearest chain from legal duty to accounting source. The law requires conformity with a framework whose own rules determine which provisions govern a given report. Other federal settings use that framework or formally incorporate named ASC material.

3.1 Legal duties and their source

The most visible chain begins with the public-company duty to report. Section 13 of the Securities Exchange Act of 1934 (Exchange Act) requires covered issuers to file annual and other reports and authorizes the Commission to prescribe their accounting methods. Regulation S-X supplies the GAAP conformity rule within that reporting system. The public receives financial statements because the law requires them; understanding the standards against which those statements must be judged is part of understanding that public obligation.³⁷

The duty to report has more than one source. Section 15(d) adds reporting duties following effective Securities Act registration, subject to its suspension provisions and exclusions. Rules 13a-1 and 15d-1 implement the two annual-reporting routes. Section 13(b)(2) also requires accurate books and records and internal controls that permit

³⁴ SEC FASB Fee Order (2026), *supra* note 33 ; Financial Accounting Foundation, *FAF Audited Financial Statements (2025)*, *supra* note 17, at 11.

³⁵ Financial Accounting Foundation, *Trustee Code of Conduct*, As amended, Financial Accounting Foundation, May 21, 2025, URL: <https://storage.accountingfoundation.org/Trustee%20Code%20of%20Conduct%20%28Amended%20May%2021%2C%202025%29.pdf> (visited on 09/12/2026) opening waiver provision; Avoidance of Actual, Potential or Apparent Conflicts of Interest; Obligation to Disclose Actual or Potential Conflicts of Interest.

³⁶ 15 U.S.C. § 77s(b)(1)(A)(ii) .

³⁷ Periodical and other reports, 15 U.S.C. §§ 78m(a), 78m(b)(1) (2002) (OLRC prelim edition; text current through laws in effect Sept. 10, 2026), URL: <https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title15-section78m&num=0&edition=prelim> (visited on 09/11/2026); 17 C.F.R. § 210.4-01(a)(1) .

preparation of statements under GAAP or other applicable criteria. The recognition provision expressly invokes section 13(b); the connection between recognized principles and reporting is built into the statutory structure.³⁸

Regulation S-X does more than supply that conformity rule. It makes departures from GAAP presumptively misleading or inaccurate unless the Commission provides otherwise. It separately permits eligible foreign private issuers to use International Financial Reporting Standards (IFRS) as issued by the International Accounting Standards Board. These qualifications define the available reporting frameworks.³⁹

The recognition and consolidation history in Sections 2.1 and 2.3 identifies the authoritative source. The reporting rules above supply the public command. Together they make the Codification the framework for judging conformity.

Education Department rules add direct incorporation to that broader chain. They require GAAP statements and financial-responsibility calculations, then expressly incorporate identified ASC material for those tasks. Section 668.23(d)(1) requires GAAP statements and uses ASC 850 for related-entity disclosures; subsection (i) formally incorporates a dated edition of that Topic. The breadth of federal GAAP duties and these specific incorporations are distinct evidence of legal reliance on the ASC.⁴⁰

3.2 GAAP duties require the whole rulebook

A general duty to conform to GAAP has an identified source. The SEC recognizes FASB's accounting principles, and FASB made the ASC the authoritative source of its nongovernmental GAAP in 2009. For a domestic issuer subject to Regulation S-X, conformity is tested against that framework. An eligible foreign private issuer may instead report under IFRS; that separate route leaves the domestic GAAP requirement intact.⁴¹

The legal command selects a framework before anyone knows the accounting answer. To apply it, an accountant must classify the transaction and the entity, find the relevant Topic, and read its scope, exceptions, elections, and effective dates. A rule may exclude one transaction yet govern another. A transition provision may preserve an old treatment for one reporting period and require a new one for the next. These provisions decide which substantive paragraph controls. Reading only a paragraph already known to apply would skip the rules that make it applicable.

³⁸ Registration and regulation of brokers and dealers, 15 U.S.C. § 78o(d) (2024), URL: <https://www.govinfo.gov/content/pkg/USCODE-2024-title15/html/USCODE-2024-title15-chap2B-sec78o.htm> (visited on 09/12/2026); Requirements of annual reports, 17 C.F.R. § 240.13a-1 (2025), URL: <https://www.govinfo.gov/content/pkg/CFR-2025-title17-vol4/pdf/CFR-2025-title17-vol4-sec240-13a-1.pdf> (visited on 09/12/2026); Requirement of annual reports, 17 C.F.R. § 240.15d-1 (2025), URL: <https://www.govinfo.gov/content/pkg/CFR-2025-title17-vol4/pdf/CFR-2025-title17-vol4-sec240-15d-1.pdf> (visited on 09/12/2026); 15 U.S.C. § 78m(b)(2)(A)–(B); 15 U.S.C. § 77s(b)(1).

³⁹ 17 C.F.R. § 210.4-01(a)(1)–(2).

⁴⁰ 34 C.F.R. § 668.23(d)(1), (i); 34 C.F.R. § 668.172(c)–(e).

⁴¹ 17 C.F.R. § 210.4-01(a)(1)–(2); Financial Accounting Standards Board, *FASB Statement No. 168*, *supra* note 21, at 13–14.

This differs from a legal reference to industry practice. A practice can be proved from many sources. Here federal law requires GAAP conformity, the SEC has recognized its standard setter, and FASB has designated an authoritative corpus and a hierarchy for using it. Topic 105 even tells accountants how to proceed when the ASC is silent: consult analogous authoritative guidance, then consider outside sources. That instruction belongs to the framework although a textbook consulted under it does not become authoritative GAAP.⁴²

The distinction between a framework and its answer sets the publication scope. Each entity applies only the provisions its facts require. A public edition must serve every entity covered by the GAAP duties and remain usable when facts, rules, or reporting dates change. The union of those possible paths runs through the current substantive Codification. An editor cannot choose the governing subset in advance for all readers. Historical editions must remain available to explain past reports; they cannot answer every question about present compliance.

FAF can accept the legal force of particular accounting principles while denying that the government adopted its entire publication. A reference to a professional practice would not enact every handbook that describes it. The ASC has a different role. Regulation S-X makes GAAP conformity the measure of a domestic issuer's statements; the SEC recognizes FASB; and FASB identifies the ASC as the source of its authoritative principles. An accountant's choice among ASC provisions is governed by the same source. The law thus selects a rulemaking framework whose own terms identify the applicable rule, and the selection stops at that framework. The website that hosts it, and the other material FAF publishes there, lie outside the selection.⁴³

The standards cases supply the method for testing publication scope. The D.C. Circuit connects adoption of an entire standard to the reasonableness of reproducing it in full. The Third Circuit measures incorporation by the breadth of the governing instrument and recognizes that explanatory material can help readers understand a standard. Here the conformity duty selects the integrated framework, and the framework's internal rules make it the unit readers must consult. Both courts asked how law gave the text its effect, and the route differed from case to case.⁴⁴

Formal incorporation under the Office of the Federal Register's procedure was the route in the D.C. Circuit's case and absent from the others. *Veeck's* model codes became law when two Texas towns enacted them by ordinance. The standards in the Third Circuit's case reached readers through a building code that Philadelphia and other jurisdictions adopted. Regulation S-X gives GAAP the same kind of effect directly,

⁴² Financial Accounting Standards Board, *FASB Statement No. 168*, supra note 21, at 13–14; U.S. Securities and Exchange Commission, *SEC Release No. 33-8221*, supra note 10.

⁴³ 17 C.F.R. § 210.4-01(a)(1); U.S. Securities and Exchange Commission, *SEC Release No. 33-8221*, supra note 10; Financial Accounting Standards Board, *FASB Statement No. 168*, supra note 21, at 13–14.

⁴⁴ *American Society for Testing & Materials v. Public.Resource.Org, Inc.*, 82 F.4th 1262, 1269 (D.C. Cir. 2023) (Katsas, J.; No. 22-7063), URL: <https://www.govinfo.gov/content/pkg/USCOURTS-caDC-22-07063/pdf/USCOURTS-caDC-22-07063-0.pdf> (visited on 09/11/2026); *American Society for Testing & Materials v. UpCodes, Inc.*, No. 24-2965, slip op. at 24–26 (3d Cir. April 7, 2026) (precedential; Restrepo, J.; argued Sept. 17, 2025; mandate issued Apr. 29, 2026), URL: <https://www2.ca3.uscourts.gov/opinarc/h/242965p.pdf> (visited on 09/11/2026).

by making conformity the measure of every domestic issuer's statements. Formal incorporation would add a publication duty on the agency, examined in Section 6.1; the public-access analysis in Sections 4.1 and 4.5 proceeds on the legal effect the conformity duties already give the rulebook, and the next question is what that rulebook includes.⁴⁵

3.3 What the rulebook includes

The public edition needs a content boundary. The substantive Codification includes the accounting guidance and the definitions, scope, exceptions, implementation material, and relationships needed to interpret it. It excludes website software, visual design, and independently linked documents that do not belong to that framework. Three boundary questions follow: what counts as authoritative text, which version governs, and who wrote it.

The first boundary is authority. Under FAS 168, Accounting Standards Updates announce and explain amendments but are not independently authoritative. They may still carry the transition information a reader needs, alongside background. Reproducing that material needs a stated legal-information purpose of its own; sharing a web address with the authoritative text supplies none.⁴⁶

The second boundary is time. A public edition must distinguish pending amendments, entity-specific effective dates, and adoption choices. Retrieval timestamps establish when copies were obtained, not which alternative governed a reporting period. Preserving those distinctions identifies the framework governing compliance without requiring separate government citations to each paragraph.

The third boundary is authorship, because the Codification also carries text the SEC itself wrote. Those SEC passages derive authority from their source, not from their appearance in FASB's system. Government authorship can independently justify copying the SEC passages themselves. Private introductions, third-party text, and arrangement stay outside that justification.⁴⁷

Those three boundaries define the publication object. Section 4.5 asks whether faithful publication of that integrated, accurately dated framework serves public understanding of GAAP obligations, and it treats material outside the boundaries separately.

3.4 How federal law uses GAAP

The broader federal record strengthens the case that the Codification performs a public function, though GAAP references vary in what they require. Credit union capital regulations define GAAP by express reference to FASB's Codification. Farm Credit reporting rules and provisions governing supervised small-business lenders identify

⁴⁵ *Veeck v. Southern Building Code Congress International, Inc.*, 293 F.3d 791, 793–94 (5th Cir. 2002) (en banc; cert. denied, 539 U.S. 969 (2003)), URL: <https://www.courtlistener.com/opinion/27815/veeck-v-southern-bldg-code-congress-intl/> (visited on 09/11/2026); *ASTM v. UpCodes*, No. 24-2965, slip op. at 1; 17 C.F.R. § 210.4-01(a)(1).

⁴⁶ Financial Accounting Standards Board, *FASB Statement No. 168*, supra note 21.

⁴⁷ U.S. Securities and Exchange Commission, *SEC Release No. 33-9062A*, supra note 22.

FASB standards in their accounting requirements. These are direct dependencies, although their covered entities and regulatory purposes differ.⁴⁸

Table 1 brings together provisions selected for the breadth of their GAAP duties and the clarity of their accounting source. The first group requires conformity with a framework; the final two examples expressly incorporate named ASC materials. Appendix A supplies a larger set of examples, with source citations and the limits of each requirement.

For insured credit unions, Congress supplies the underlying command in 12 U.S.C. § 1782(a)(6)(C). Accounting principles for required reports must be uniform and consistent with GAAP. The Board may prescribe a different principle when GAAP is inappropriate, but the replacement must be no less stringent; the statute also contains a small-institution exception. Read with the capital regulation's express identification of the Codification, the statute connects a positive reporting obligation to the authoritative framework.⁴⁹

For covered insured depository institutions, section 1831m(b)(1) requires GAAP annual financial statements, and subsection (d)(2)(A) requires an independent accountant to report on their fair presentation under GAAP. Subsection (j) exempts institutions below its asset threshold, which the Federal Deposit Insurance Corporation may raise by regulation. Separately, section 1831n(a)(2) requires uniform, GAAP-consistent regulatory accounting and allows supervisory departures only on a no-less-stringent basis.⁵⁰

State professional rules add another route outside this Article's federal census. Ohio prohibits permit holders from representing statements as GAAP-conforming unless they meet the principles applicable to the entity and engagement. Its rule names the ASC as the primary authoritative source for nongovernmental entities. It also specifies how to report unusual departures and separately permits IFRS. These professional duties extend legal dependence on the ASC beyond the federal inventory.⁵¹

The American Institute of Certified Public Accountants (AICPA) supplies a parallel professional duty. Its Accounting Principles Rule, formerly Rule 203, bars members from making specified GAAP-conformity representations when statements contain a material departure from recognized principles. The rule allows a justified departure in unusual circumstances when following the principle would mislead, with disclosure of the departure and its effects. The accompanying interpretation expressly identifies the ASC as accounting principles contemplated by the rule. It directs ethics review to the standards and their interpretations. This connects the integrated text to professional

⁴⁸ 12 C.F.R. § 702.2 ; 12 C.F.R. §§ 621.2, 621.3 ; 13 C.F.R. § 120.463 .

⁴⁹ 12 U.S.C. § 1782(a)(6)(C)(i)–(iii) ; 12 C.F.R. § 702.2 .

⁵⁰ 12 U.S.C. §§ 1831m(b)(1), 1831m(d)(2)(A), 1831m(j) ; Accounting objectives, standards, and requirements, 12 U.S.C. § 1831n(a)(2)(A)–(B) (1991) (FDICIA § 121(a), Pub. L. No. 102-242, 105 Stat. 2250; OLRC prelim edition), URL: <https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title12-section1831n&num=0&edition=prelim> (visited on 09/11/2026).

⁵¹ Generally accepted accounting principles, Ohio Admin. Code 4701-9-04, §§ (A)–(D), (G) (2026), URL: <https://codes.ohio.gov/ohio-administrative-code/rule-4701-9-04> (visited on 09/11/2026).

TABLE 1: Federal law makes GAAP a condition of reporting, funding, and payment

Setting	Provision	Accounting requirement
General GAAP duties		
SEC filings	17 C.F.R. § 210.4-01(a)(1)	Financial statements departing from GAAP are presumed misleading or inaccurate unless the SEC provides otherwise.
Insured banks	12 U.S.C. § 1831n(a)(2)	Accounting principles for reports to federal banking agencies must be uniform and consistent with GAAP.
Insured credit unions	12 U.S.C. § 1782(a)(6)(C); 12 C.F.R. § 702.2	Required reports use GAAP-consistent principles; the capital rule expressly defines GAAP through the ASC.
Farm Credit institutions	12 C.F.R. § 621.2; 12 C.F.R. § 621.3(a)–(b)	Records and financial reports follow GAAP; the definition names FASB and other recognized authoritative sources.
SBA Supervised Lenders	13 C.F.R. § 120.463(a)–(b)	Accrual books and records follow FASB GAAP, supplemented by SBA principles; the annual audit addresses GAAP compliance.
Federal award costs	2 C.F.R. § 200.403(e)	Allowable costs must be determined under GAAP, subject to stated exceptions for governments and Indian Tribes.
Employee benefit plans	29 U.S.C. § 1023(a)(3)(A)	The independent accountant’s annual-report opinion addresses fair presentation under consistently applied GAAP.
Defense contractors	10 U.S.C. § 3802(c)(1)	A GAAP-compliant accounting system is a condition of receiving performance-based payments.
Express incorporation of named ASC materials		
Student-aid institutions	34 C.F.R. § 668.23(d)(1), (i)	Requires GAAP financial statements and uses ASC 850 for related entities; formally incorporates the specified ASC 850 edition.
Student-aid financial ratios	34 C.F.R. § 668.172(c)–(e)	Uses ASC 205 and ASU 2016-02 (Topic 842) in financial ratios; formally incorporates specified editions.

responsibility in covered engagements outside public markets. State adoption and the particular engagement remain separate questions.⁵²

Maine illustrates a different state-law route. Its annual-report statute directs the State Controller to prepare the state's report using standards established by a governmental accounting standards board. It also links identification of component units to that source. This is a governmental accounting duty, not evidence that Maine has required private companies to follow the ASC. Together the examples show why framework, actor, and reporting purpose must be identified even when the larger issue is access to the recognized framework.⁵³

Tax law supplies another form of dependence. Sections 451(b) and 56A use financial-statement measures within statutory tax computations. The statute gives the accounting input a role, and only that role: the tax calculation remains governed by its own adjustments and exclusions.⁵⁴

The Supreme Court's accounting cases draw the same line. In *Shalala v. Guernsey Memorial Hospital*, the Court held that the Medicare regulations did not require the Secretary to reimburse providers on a GAAP basis; identifying GAAP did not decide what the program had to pay. Because the instrument there never imposed a GAAP duty, the holding leaves open the case of an instrument that does.⁵⁵ The Court also described GAAP in terms that challenge the integrated-rulebook argument directly:

Far from a single-source accounting rulebook, GAAP “encompasses the conventions, rules, and procedures that define accepted accounting practice at a particular point in time.”⁵⁶

It counted nineteen potentially conflicting sources and a hierarchy for choosing among them. *Thor Power Tool* and *United States v. Simon* draw the same line for tax accounting and for fraud liability: conformity with GAAP settles the accounting question, not every legal one.⁵⁷

⁵² American Institute of Certified Public Accountants, *Code of Professional Conduct*, AICPA, July 2026, URL: <https://pub.aicpa.org/codeofconduct/ethicsresources/et-cod.pdf> (visited on 09/12/2026) §§ 1.320.001.01–.02, 1.320.020.01–.03.

⁵³ Annual financial report of the State, Me. Rev. Stat. tit. 5, § 1547, opening paragraph and subsection 3 (2026), URL: <https://www.legislature.maine.gov/statutes/5/title5sec1547.pdf> (visited on 09/11/2026).

⁵⁴ General rule for taxable year of inclusion, 26 U.S.C. § 451(b)(1)–(3) (2017) (added by Tax Cuts and Jobs Act, Pub. L. No. 115-97, § 13221, 131 Stat. 2113 (2017); OLRC prelim edition), URL: <https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title26-section451&num=0&edition=prelim> (visited on 09/11/2026); Adjusted financial statement income, 26 U.S.C. § 56A(a)–(c) (2022) (added by Inflation Reduction Act of 2022, Pub. L. No. 117-169, § 10101(b)(1), 136 Stat. 1822; amended by Pub. L. No. 119-21, § 70523(a), 139 Stat. 281 (2025); OLRC prelim edition), URL: <https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title26-section56A&num=0&edition=prelim> (visited on 09/11/2026).

⁵⁵ *Shalala v. Guernsey Memorial Hospital*, 514 U.S. 87, 90, 95–96 (1995), URL: <https://www.courtlistener.com/opinion/117909/shalala-v-guernsey-memorial-hospital/> (visited on 09/11/2026).

⁵⁶ *Id.* at 101.

⁵⁷ *Guernsey*, 514 U.S. at 101; *Thor Power Tool Co. v. Commissioner*, 439 U.S. 522, 542–43 (1979), URL: <https://www.courtlistener.com/opinion/109974/thor-power-tool-co-v-commissioner/> (visited on 09/11/2026); *United States v. Simon*, 425 F.2d 796, 805–06 (2d Cir. 1969) (Friendly, J.; decided Nov. 12, 1969; cert. denied, 397 U.S. 1006 (1970)), URL: <https://www.courtlistener.com/opinion/289910/fed-sec-l-rep-p-92511-united-states-of-america-v-carl-j-simon/> (visited on 09/11/2026).

In 1995 the description was accurate. The source structure changed in 2009, when FAS 168 consolidated authoritative non-SEC GAAP and introduced Topic 105. Paragraph ASC 105-10-05-1 identifies the Codification as the authoritative FASB source; paragraph ASC 105-10-05-4 preserves the SEC's separate authority. This consolidation answers *Guernsey's* description of a multi-source hierarchy while preserving the need for accounting judgment.⁵⁸

Topic 105 also explains what to do when the framework is silent. Paragraph ASC 105-10-05-2 directs the entity first to consider analogous authoritative principles and then outside guidance, subject to restrictions on using an analogy. Paragraph ASC 105-10-05-3 identifies outside sources as nonauthoritative and explains how to assess their relevance. Those sources include industry practice, IFRS, and accounting textbooks. The framework governs the search for an answer even where the answer lies outside its own text.⁵⁹

Such governance strengthens the case for complete access to the ASC without extending it to every publication an accountant might consult. Users must be able to check relevant standards, related principles, and limits on analogy across the current framework. Consulting an outside work under that process leaves the rest of its text nonauthoritative.

An appellate application shows what reading the framework means in practice. In *Indiana Public Retirement System v. SAIC*, the Second Circuit asked whether a complaint adequately alleged a failure to disclose a loss contingency under FAS 5, quoting Regulation S-X's presumption on the way. The district court had required a probable claim before any disclosure. The Second Circuit held that the standard's general threshold is a reasonable possibility of loss, and that the stricter probability test applies only to an unasserted claim of which no potential claimant has shown awareness; on the pleaded facts, the complaint adequately alleged a violation.⁶⁰ The case concerns predecessor text, not ASC copyright. But its method is the lesson: a reader given one threshold without its neighbor would misunderstand the disclosure duty. A public repository must preserve the relationships through which readers identify the governing rule.

Federal procurement supplies a sequence of deliberate substitutions. A September 2025 Cost Accounting Standards Board rule replaced its operating-revenue definition with reliance on GAAP revenue under ASC 606, effective October 14, 2025. Its lease provisions preserved specified cost-accounting differences rather than adopting all GAAP lease treatment.⁶¹

⁵⁸ Financial Accounting Standards Board, *FASB Statement No. 168*, *supra* note 21, at 13–14.

⁵⁹ *Id.* at 14.

⁶⁰ *Indiana Public Retirement System v. SAIC, Inc.*, 818 F.3d 85, 92–94 (2d Cir. 2016) (Lohier, J.), URL: <https://www.courtlistener.com/opinion/8442647/indiana-public-retirement-system-v-saic-inc/> (visited on 09/11/2026).

⁶¹ Cost Accounting Standards Board, Office of Management and Budget, *Conformance of Cost Accounting Standards to Generally Accepted Accounting Principles for Operating Revenue and Lease Accounting*, Final Rule 90 Fed. Reg. 43942, Effective Oct. 14, 2025, September 11, 2025, URL: <https://www.govinfo.gov/content/pkg/FR-2025-09-11/pdf/2025-17480.pdf> (visited on 09/12/2026) at 43942, 43944–46.

The Board's July 2026 rule then rescinded Standards 408 and 411 and most provisions of Standards 404 and 409, effective August 7. It identified the development of FASB and the Codification as reasons why GAAP could substitute for overlapping cost-accounting requirements. A further final rule, published September 1, removes Standard 407 while moving retained requirements to Standard 418. It takes effect October 1, 2026, and was not yet operative as of September 12, 2026. The Board has progressively assigned accounting questions to the external framework.⁶²

Remaining Cost Accounting Standards, contract terms, and allowability rules still govern. The general cost principle distinguishes applicable Board standards from GAAP practices appropriate to the circumstances.⁶³

The preserved September 2026 regulation still directs capitalization and depreciation of restructuring-related improvements to sections 9904.404 and 9904.409, although their subparts are now reserved. Readers must trace the amendments and retained requirements to make sense of the stale cross-reference.⁶⁴

Investors, members, taxpayers, and students may assess others' compliance or examine a reporting rule's design. They cannot always identify the relevant exception or disclosure threshold before consulting the framework.

The federal inventory documents 785 distinct regulatory citations across 39 CFR titles and 83 statutory citations across 16 USC titles. Appendix A explains the collection's search, classification, and coverage limits. The inventory distinguishes definitions, conformity mandates, financial inputs, and nondirective discussion. Its pattern rules classify 472 regulatory and 73 statutory citations as binding candidates, and 70 regulatory citations as definitions. Those labels identify rows for legal review. The 76 regulatory citations that expressly name FASB or the ASC provide a narrower set for tracing the link to the private standard setter. One genuine general conformity mandate presents the scope question; additional mandates show its practical reach.

⁶² Cost Accounting Standards Board, Office of Management and Budget, *Conformance of Cost Accounting Standards to Generally Accepted Accounting Principles for Cost Accounting Standards 404, 408, 409, and 411*, Final Rule RIN 0348-AB90, 91 Fed. Reg. 42139, amending 48 C.F.R. pts. 9903, 9904; effective Aug. 7, 2026; NPRM at 90 Fed. Reg. 43994 (Sept. 11, 2025), Office of Federal Procurement Policy, July 8, 2026, URL: <https://www.federalregister.gov/documents/2026/07/08/2026-13764/c-onformance-of-cost-accounting-standards-to-generally-accepted-accounting-principles-for-cost> (visited on 09/11/2026) at 42139; Cost Accounting Standards Board, Office of Management and Budget, *Conformance of Cost Accounting Standards to Generally Accepted Accounting Principles for CAS 407 Use of Standard Costs for Direct Material and Direct Labor*, Final Rule 91 Fed. Reg. 56061, Effective Oct. 1, 2026; not yet operative at the paper's September 12 vantage point, September 1, 2026, URL: <https://www.govinfo.gov/content/pkg/FR-2026-09-01/pdf/2026-17903.pdf> (visited on 09/12/2026) at 56061–63.

⁶³ Determining allowability, 48 C.F.R. § 31.201-2(a)(3) (2004) (FAR cost principles; eCFR text as of title 48 issue date 2026-09-01), URL: <https://www.ecfr.gov/current/title-48/section-31.201-2> (visited on 09/11/2026); Cost Accounting Standards, 48 C.F.R. pt. 9904 (2026) (eCFR title 48 current through Sept. 9, 2026; last amended Sept. 1, 2026), URL: <https://www.ecfr.gov/current/title-48/chapter-99/subchapter-B/part-9904> (visited on 09/11/2026).

⁶⁴ 48 C.F.R. § 9904.406-61(c).

3.5 Agency interpretation as a fallback

The SEC has spoken twice, in different instruments. The 2003 policy statement exercised the recognition authority Congress delegated in section 19(b) of the Securities Act; it is an act of delegated power, not a reading of a regulation. The 2009 interpretive release directed readers to treat references to superseded FASB standards in Commission rules and guidance as references to the Codification. Read with the conformity rule in 17 C.F.R. § 210.4-01(a)(1), that release is the only candidate for the question *Kisor v. Wilkie* addresses: when a court should give an agency's reading of its own regulation controlling weight.⁶⁵

Kisor requires genuine ambiguity after the court has used every ordinary tool of interpretation, and then a reading that is reasonable, authoritative, within the agency's expertise, and the product of considered judgment rather than a litigation position.⁶⁶ The band in which that test decides anything is narrow here. Sections 3.2 and 3.3 argue that the conformity rule, read in its regulatory setting, already selects the integrated rulebook. A court that agrees never reaches deference. A court that disagrees will most likely find the rule clear the other way. Deference decides the case only where a court finds real ambiguity and no other tiebreaker. In that band, the 2009 release has the features *Kisor* rewards: it was issued in the course of administering financial reporting, not in response to a publication dispute, and it lies within the expertise Congress assigned. It still says only what it says, and it stops short of declaring every ASC provision law.

Loper Bright Enterprises v. Raimondo addresses the different question of statutory interpretation. Courts exercise independent judgment while respecting authority Congress actually delegated and considering persuasive agency expertise. Here Congress expressly authorized recognition of a qualifying standard setter, so the claim rests on express delegation, with no need to presume agency power from statutory silence.⁶⁷

3.6 The scope of adoption

Federal law requires covered entities to report under GAAP and presumes departures misleading. Since 2009, nongovernmental GAAP has had one authoritative source, the Codification, with the SEC's own text reproduced alongside it. A conformity mandate selects the whole framework that determines conformity, with its scope rules, exceptions, and effective dates, and never a handful of paragraphs. Within the boundaries drawn in Section 3.3, that framework is the substantive Codification. For every entity required by law to follow GAAP, the substantive Codification is the source of the nongovernmental accounting standards used to determine that duty. FAF's viewer and its licensees

⁶⁵ U.S. Securities and Exchange Commission, *SEC Release No. 33-8221*, supra note 10; U.S. Securities and Exchange Commission, *SEC Release No. 33-9062A*, supra note 22, at 2–4; 15 U.S.C. § 77s(b) .

⁶⁶ *Kisor v. Wilkie*, 588 U.S. 558, 574–79 (2019), URL: https://www.supremecourt.gov/opinions/18pdf/588us2r69_g3bi.pdf (visited on 09/12/2026).

⁶⁷ *Loper Bright Enterprises v. Raimondo*, 603 U.S. 369, 394–95 (2024), URL: https://www.supremecourt.gov/opinions/23pdf/603us1r54_o7jp.pdf (visited on 09/12/2026); 15 U.S.C. § 77s(b) .

carry the text, but neither supplies an independent public edition with permission for professional use and reuse.

Guernsey and *Simon* leave separate legal requirements in place. For the duty to comply with GAAP, the ASC supplies the rulebook: whoever must comply must read it. The ASC is where nongovernmental GAAP now lives.

What no instrument supplies is authority over copyright. The SEC's accounting expertise lets it recognize a standard setter and read its own rules. The ASC's copyright status lies beyond that expertise. Copyright law decides whether the public may copy the rulebook.

4. COPYRIGHT AND PUBLIC ACCESS

Public reliance on an accounting standard and permission to reproduce its text are distinct questions. For educators, professional advisers, and information providers, the difference determines whether access can extend beyond the publisher's own service. The federal record includes broad GAAP conformity duties and express incorporation of specified ASC material. The free viewer, meanwhile, is licensed for personal rather than professional use. This section examines two routes: limits on copyright protection for legal rules, and fair use of text that remains protected. The second route requires assessing both the public purpose of publication and its effects on existing markets.

4.1 Government edicts and authorship

The principle that no one can own the law leaves open several questions about privately authored material used by government. In *Georgia v. Public.Resource.Org*, the Supreme Court applied the government-edicts doctrine: judges and legislators cannot claim copyright in works produced in the course of their judicial and legislative duties. The rule reached Georgia's official annotations even though those annotations were not binding. The decisive inquiry concerned the author and the author's function.⁶⁸

The Court expressly distinguished private parties and officials without lawmaking authority. Regulatory reliance leaves FASB a private body, and mandatory funding leaves its staff private employees. Congress expressly preserved FASB's private status.⁶⁹

Georgia's account of public access remains relevant despite that authorship limit. Georgia argued that copyright was needed to induce private publishers to prepare affordable annotated codes. The Court rejected that policy argument as a reason to depart from its interpretation of the Act.⁷⁰ The Court also observed that uncertainty and possible penalties can deter citizens, lawyers, and research companies from using legal works.⁷¹ The Court did not decide the status of privately authored standards adopted or relied on by government. FASB's private authorship prevents a direct application of the government-edicts rule. The merger and fair-use arguments developed below stand

⁶⁸ *Georgia*, 590 U.S. at 265–69, 274.

⁶⁹ *Georgia*, 590 U.S. at 265, 270; 15 U.S.C. § 77s .

⁷⁰ *Georgia*, 590 U.S. at 272.

⁷¹ *Id.* at 275.

on separate footing. The Court's concern about litigation costs bears on the practical value of those rights.

The older cases explain why funding and access belong in this analysis. *Banks v. Manchester* connected judges' public salaries with their inability to claim a private interest in their judicial work. It also treated that work as an authoritative explanation of law that binds citizens and must be free for publication. Payment and notice were linked reasons for rejecting private control.⁷²

The First Circuit carried those concerns into the private-standards setting in *Building Officials & Code Administrators v. Code Technology (BOCA)*. It questioned whether private authorship could justify exclusive control over a code adopted as regulations carrying sanctions. The public's need to know the rules did not disappear because a private organization drafted them. The court vacated a preliminary injunction and remanded; it did not finally hold every adopted standard uncopyrightable.⁷³

County of Suffolk later asked both whether copyright incentives were needed to create the work and whether access was needed to know the law. It rejected an automatic public-domain rule for the county's tax maps and allowed the county to develop its evidence. The maps assessed a pre-existing tax obligation, and access was available. The ASC differs because its standards supply the accounting requirements themselves.⁷⁴

The incentive question from *County of Suffolk* returns later. The funding history in Section 2.2 bears on incentive dependence, not federal authorship. Its application to market harm belongs to Section 4.9.

A text's public character can survive the route by which a copy was obtained. *Howell v. Miller* explained that a publisher could reproduce state statutes from another publisher's book, while the latter could protect its own notes and other original additions. This defeats the assumption that law becomes private merely by passing through a private edition. It does not decide whether the ASC has acquired the relevant legal status, or excuse a separate breach of contract or unlawful access to a computer system.⁷⁵

Federal authorship supplies a narrower statutory route. Sections 101 and 105 exclude from domestic copyright works prepared by federal officers or employees as part of their official duties. That rule applies to government-authored SEC text. Surrounding private expression requires its own analysis.⁷⁶

⁷² *Banks v. Manchester*, 128 U.S. 244, 253 (1888), URL: <https://www.courtlistener.com/opinion/92329/banks-v-manchester/> (visited on 09/11/2026).

⁷³ *Building Officials & Code Administrators International, Inc. v. Code Technology, Inc.*, 628 F.2d 730, 734–36 (1st Cir. 1980), URL: <https://www.courtlistener.com/opinion/381361/building-officials-code-adm-v-code-technology-inc/> (visited on 09/11/2026).

⁷⁴ *County of Suffolk v. First American Real Estate Solutions*, 261 F.3d 179, 193–95 (2d Cir. 2001), URL: <https://www.courtlistener.com/opinion/7097762/county-of-suffolk-v-first-american-real-estate-solutions/> (visited on 09/11/2026).

⁷⁵ *Howell v. Miller*, 91 F. 129, 137–38 (6th Cir. 1898) (Harlan, Circuit Justice, joined by Taft, Circuit Judge), URL: <https://www.courtlistener.com/opinion/8878085/howell-v-miller/> (visited on 09/11/2026).

⁷⁶ Definitions, 17 U.S.C. § 101 (2024), URL: <https://www.govinfo.gov/content/pkg/USCODE-2024-title17/pdf/USCODE-2024-title17-chap1-sec101.pdf> (visited on 09/12/2026); Subject matter of copyright: United States Government works, 17 U.S.C. § 105 (2024), URL: <https://www.govinfo.gov/content/pkg/USCODE-2024-title17/pdf/USCODE-2024-title17-chap1-sec105.pdf> (visited on 09/12/2026).

The standards cases address the next question: how does legal adoption affect the right to publish a work that began as private expression?

4.2 Adopted codes and *Veeck*

In *Veeck*, the Fifth Circuit, sitting en banc, held that a publisher did not infringe by reproducing the building codes of two Texas municipalities. The model codes were privately authored, but the municipalities had adopted them as their law. The majority treated publication of that law differently from publication of the model codes as private works. Its reasoning defended public ownership and rejected dependence on the copyright holder's continuing willingness to allow access.⁷⁷

The decision also supplies a distinct statutory route. Under the merger doctrine, expression cannot be controlled by copyright when doing so would give control over an idea that can be expressed only that way. Section 102(b) excludes ideas, systems, and methods from copyright protection. *Veeck* applied that distinction to enacted codes: the precise text was the fact of what the municipalities' law required. A person cannot publish an authoritative copy of that law by inventing different wording. The court's reasoning therefore concerned both public ownership of law and the inability to separate the legal rule from its controlling expression.⁷⁸

For the ASC, the corresponding argument starts with the legal reporting duty. An independent textbook may explain GAAP in different words, but it cannot replace the authoritative wording against which conformity is assessed. If the duty adopts the integrated rulebook, exclusive control over reproducing that rulebook would control publication of the rule itself. This is the affirmative merger argument: exclusive control over the adopted rulebook's wording would control the rule itself. Its disputed premise is the legal effect of the general conformity command. The distinction between an adopted framework and an external reference, considered below, determines whether *Veeck*'s reasoning extends to the ASC.

The limiting language is equally important. The court distinguished references to extrinsic works, including the materials at issue in *CCC* and *Practice Management*. It also warned against mixing enacted text with material not adopted into law and presenting the mixture as law. The decision therefore stops short of holding that a government reference to any copyrighted work removes protection from the entire work. Its model-code rationale depends on the relationship among the work's purpose, legal adoption, and what the defendant actually published.⁷⁹

Congress and the SEC have identified FASB's standard-setting function within the legal reporting system. FASB's work is maintained to supply standards with that recognized role. That institutional relationship is closer to production for legal adoption than a law's incidental reference to a novel or textbook. Accounting standards also serve private contracts, voluntary reports, and professional practice. Their legal and nonlegal uses coexist in the same text.

⁷⁷ *Veeck*, 293 F.3d at 799–802.

⁷⁸ *Id.* at 800–01.

⁷⁹ *Id.* at 803–05.

The Fifth Circuit's 2024 decision in *Canadian Standards Association v. P.S. Knight* makes that argument stronger. The court applied *Veeck* to a commercial publisher's replicas of codes adopted by Canadian jurisdictions. Other uses of the codes did not prevent their treatment as model codes intended for adoption. The court applied United States law to infringement while distinguishing the ownership question governed by foreign law.⁸⁰ It did not reach fair use.⁸¹

Neither commercial publication nor a standard's nonlegal uses defeats the Fifth Circuit's model-code rationale. Its application to the ASC turns on the adoption argument in Section 3 and faithful publication of that body as the legally operative framework.

4.3 Fair use and public standards

The D.C. Circuit's standards decisions provide a different route. Its 2018 decision required close attention to the variations among referenced standards and their roles in identifying legal obligations. The 2023 appeal then affirmed fair use for the noncommercial publication of the incorporated standards at issue. The court distinguished a public repository of law from a publisher's presentation of current industry best practices. It did not need to declare that every underlying private copyright had ceased to exist.⁸²

That route fits the ASC problem in an important way. A court can recognize private authorship and still conclude that republication, meaning publication of another copy, for legal understanding is permitted. Copyright ownership is not a promise of control over every use. The statutory fair-use inquiry asks whether the particular copying is justified, considering its purpose, the work, the amount, and the market. It therefore permits a differentiated answer for legally operative standards and material beyond them.

The D.C. Circuit's amount analysis is especially useful. When an agency gives legal effect to an entire standard, reproducing the entire standard can reasonably serve a comprehensive account of the law. Explanatory and background material can aid interpretation. A publisher need not strip away every sentence that lacks an imperative verb. At the same time, the court's treatment of unincorporated standards cautions against treating a useful archive as automatically coextensive with the adopted law.⁸³

In April 2026, the Third Circuit extended the fair-use reasoning to a for-profit publisher's display of standards incorporated through an intermediate building code. It affirmed denial of a preliminary injunction because UpCodes was likely to succeed on its defense. The court treated indirect incorporation as capable of producing the same legal-information purpose as direct incorporation. It also explained why whole-

⁸⁰ *Canadian Standards Ass'n v. P.S. Knight Co.*, 112 F.4th 298, 303–06 (5th Cir. 2024) (King, J.; Douglas, J., dissenting; substituting and withdrawing 108 F.4th 329 (July 16, 2024); reh'g and reh'g en banc denied Aug. 14, 2024; cert. denied, No. 24-537 (U.S. Jan. 21, 2025)), URL: <http://www.ca5.uscourts.gov/opinions/pub/23/23-50081-CV1.pdf> (visited on 09/11/2026).

⁸¹ Id. at 307 n.9.

⁸² *American Society for Testing & Materials v. Public.Resource.Org, Inc.*, 896 F.3d 437, 448–51 (D.C. Cir. 2018), URL: <https://www.courtlistener.com/opinion/4517540/am-socy-for-testing-materials-v-publicresourceorg-inc/> (visited on 09/11/2026); *ASTM (D.C. Cir. 2023)*, 82 F.4th at 1265, 1268–72.

⁸³ *ASTM (D.C. Cir. 2023)*, 82 F.4th at 1269, 1273.

standard copying could include portions that impose no duty but help explain the standard.⁸⁴

Two limits are essential. First, this was a preliminary-injunction appeal, not a final judgment resolving every disputed fact. Second, UpCodes displayed the versions adopted by particular jurisdictions. Nine of the ten standards had since been updated, so most challenged copies were of superseded editions. The court expressly reserved merely referenced material. The holding supplies precedential legal reasoning for the ASC argument, limited to the standards and editions before the court.⁸⁵

The model-code and fair-use cases address different questions and records, not a single split over public access. The ASC argument invokes both routes; fair use leaves private ownership in place.

4.4 Limits of the standards cases

The routes above have limits that the ASC argument must respect. *CCC Information Services* rejected both merger and public-domain arguments concerning a vehicle-valuation guide. The Second Circuit withheld merger because treating each valuation as an unprotected idea would let a competitor take virtually the entire original compilation. The valuations reflected editorial opinion, and the regulations permitted other valuation methods.⁸⁶ The ASC response rests on legal adoption. A general conformity duty makes the framework the measure of compliance. Merger turns on that role; Section 4.5 separately defends complete publication through fair use.

Practice Management presents a closer obstacle. Federal rules required medical providers to use the American Medical Association's procedure codes, yet the Ninth Circuit preserved the AMA's copyright. The agency held a royalty-free right to use, copy, publish, and distribute the code. It could end its agreement and choose a competing system. On that record, the court found no evidence that a provider had trouble obtaining the codes; the plaintiff was a bookseller seeking to republish them after failing to obtain a larger purchase discount. Mandatory use, standing alone, did not defeat the copyright.⁸⁷

The ASC dispute concerns access on materially different terms. FAF offers personal-use viewing, while its license bars the copying and professional uses through which controllers, auditors, teachers, and advisers work with the standards. The question is whether copyright can bar faithful public publication when federal law makes this current framework the measure of GAAP conformity and the authorized source withholds ordinary use. The Ninth Circuit addressed no comparable record of a rulebook offered

⁸⁴ *ASTM v. UpCodes*, No. 24-2965, slip op. at 4, 14–26, 33–34.

⁸⁵ Id. slip op. at 4–7, 24–25.

⁸⁶ *CCC Information Services, Inc. v. Maclean Hunter Market Reports, Inc.*, 44 F.3d 61, 72–74 (2d Cir. 1994) (Leval, J.), URL: <https://www.courtlistener.com/opinion/686430/ccc-information-services-inc-v-maclean-hunter-market-reports-inc/> (visited on 09/11/2026).

⁸⁷ *Practice Management Information Corp. v. American Medical Ass'n*, 121 F.3d 516, 517–19 (9th Cir. 1997) (amended, 133 F.3d 1140 (9th Cir. 1998)), URL: <https://www.courtlistener.com/opinion/744681/practice-management-information-corporation-a-california-corporation-v/> (visited on 09/11/2026).

to the public under a personal-use restriction. Its opinion also identified fair use and a wider license as possible responses if access to a mandatory code were denied.⁸⁸

The misuse holding in *Practice Management* rested on a different act: the AMA made the agency promise not to use a competing code. The record here identifies no such promise by the SEC or another regulator to FAF. FAF's copying, linking, and tool restrictions require their own misuse analysis in Section 5.5. The Ninth Circuit's copyright ruling and its misuse ruling therefore mark separate limits; neither decides the public-edition question here.⁸⁹

A takings objection deserves a separate answer. CCC warned that stripping copyright merely because government referred to a private work would raise serious questions under the Takings Clause, which requires just compensation when government takes private property for public use. Its assigned-schoolbook example tests the same boundary: a requirement to read a book ordinarily leaves that book's contents unenacted.⁹⁰

The ASC is the substance of the legal duty. A schoolbook is assigned; the Codification is what the filer's statements must conform to. Fair use enforces copyright's existing limits. Section 107 sets no compensation condition on fair use. A takings objection cannot replace the inquiry into whether the publication is fair.⁹¹

If federal action takes a compensable property right, the owner's takings claim would generally seek just compensation from the United States. It would not run against private people who access or republish the ASC merely because they rely on a public-use right. Whether their particular access or republication is lawful remains a separate copyright and contract question.

A compulsory license is a different remedy. Compelling a broader license requires separate authority and analysis of existing rights. *Practice Management* identified fair use and possible mandatory licensing at a reasonable royalty as distinct responses to denied access. It neither ordered a license nor established a general agency power to impose one. Judicial defenses and funded delivery arrangements remain distinct options.⁹²

Original organization presents another possible right. *Feist* excludes facts from copyright while recognizing that original selection and arrangement can be protected. An accounting system can be functional while its explanatory sentences and organizational choices still carry expression. *Baker v. Selden*, itself an accounting case, distinguishes a bookkeeping system from the book explaining it. The distinction frees

⁸⁸ *Practice Management*, 121 F.3d at 518–19; Financial Accounting Foundation, *FAF License Agreement* (10.10.24), *supra* note 5, §§ 2, 3(a)(j).

⁸⁹ *Practice Management*, 121 F.3d at 520–21.

⁹⁰ CCC, 44 F.3d at 74.

⁹¹ 17 U.S.C. § 107.

⁹² *Practice Management*, 121 F.3d at 519.

accounting methods for use. Republication of the books that describe them needs a separate justification.⁹³

American Dental Association v. Delta Dental Plans Association makes the originality objection especially direct. The Seventh Circuit rejected a rule denying copyright to useful taxonomies, meaning organized classifications of a field. It expressly identified FASB manuals among the works that the rejected rule would strip of protection. The court treated original classification and description as protectable and distinguished using a system from copying the work that describes it.⁹⁴

That accounting example defeats an argument based only on usefulness, technical subject matter, or committee authorship. But the court left other defenses for remand. Whether the ASC's legal role justifies faithful public reproduction remains open once original expression is recognized.

Nor does the use-versus-copying distinction fit the Codification cleanly. Its arrangement cannot be separated from the rules it arranges without breaking the legal reference. Federal rules incorporate by Topic number, courts apply standards by paragraph, and scope, exception, and transition provisions operate through the structure that connects them. The paragraph identifiers the law uses are the arrangement: to cite ASC 850-10-50-1 is to name a position in FAF's hierarchy. An edition that kept every sentence and changed the order would no longer tell a reader which rule the law names. The arrangement is the addressing system of the adopted framework.⁹⁵

The distinction between the governing standard and a private explanation also answers the editorial-rights objection in *Ross*. *Ross* copied an editorial layer over opinions it could have taken from the courts or any other publisher; the ASC has no other source. Section 4.9 addresses that decision's originality and market reasoning together.

The May 2026 order in *Texas Association of School Boards v. Texans for Excellence in Education* makes the compilation issue concrete. TASB disclaimed ownership of underlying law while alleging original selection, coding, arrangement, and explanatory text. The court allowed the copyright claim to survive dismissal and declined to resolve fair use from the complaint alone. It expressly considered the Third Circuit's new *UpCodes* decision, distinguishing the procedural posture. The case is an adverse analogy for copying separable editorial contributions; the court had yet to decide which claimed material was protected.⁹⁶

⁹³ *Feist Publications, Inc. v. Rural Telephone Service Co.*, 499 U.S. 340, 348–49 (1991), URL: <https://www.courtlistener.com/opinion/112568/feist-publications-inc-v-rural-telephone-service-co/> (visited on 09/11/2026); *Baker v. Selden*, 101 U.S. 99, 104–05 (1879), URL: <https://www.courtlistener.com/opinion/90097/baker-v-selden/> (visited on 09/11/2026).

⁹⁴ *American Dental Association v. Delta Dental Plans Association*, 126 F.3d 977, 978–81 (7th Cir. 1997), URL: <https://www.courtlistener.com/opinion/746914/american-dental-association-v-delta-dental-plans-association/> (visited on 09/12/2026).

⁹⁵ 34 C.F.R. § 668.23(d)(1), (i); *Indiana PERS*, 818 F.3d at 93; Financial Accounting Standards Board, *FASB Statement No. 168*, supra note 21, at 13–14.

⁹⁶ *Texas Association of School Boards, Inc. v. Texans for Excellence in Education, Inc.*, No. 1:25-cv-01863-DH, ECF No. 44, at 5–18 (W.D. Tex. May 13, 2026) (Howell, M.J.; preliminary injunction denied; motion to dismiss granted in part and denied in part).

The court denied a preliminary injunction for failure to establish irreparable harm, without resolving the other requirements. Its conditional observation about official adoption did not extinguish the rights at issue. Neither that denial nor survival of the complaint settled fair use on the merits.⁹⁷

Section 4.5 addresses the distinct purpose and market objections in *Hachette* and *NFPA*. Protectable expression is only the starting point for assessing justified public use.

Public ASC publication therefore turns on a defined body of rules, a reason to copy that body, and an answer to substitution in protected markets. Section 3 identifies the rulebook. Fair use must carry the copying and market arguments.

4.5 Purpose: public explanation

Section 107 names teaching, scholarship, criticism, and research among the purposes for which copying may be fair. It then directs courts to weigh four factors together: the purpose and character of the use, the nature of the work, the amount taken, and the effect on the market. The use weighed here is faithful publication of the integrated framework for public legal understanding, not distribution of publisher software or development of a competing commercial codification. Legal effect informs all four factors; it displaces none of them.⁹⁸

The weight given to public understanding has a constitutional source. *Eldred* describes the idea-expression line and fair use as copyright's "built-in First Amendment accommodations," the two places where the statute leaves room for speech. When the expression at issue is the text of a binding rule, that accommodation is doing its core work, and the factors below are read with that function in view.⁹⁹

The first factor is the purpose and character of the use, including whether it is commercial or for nonprofit educational purposes. It asks what the defendant does with the work. *Warhol* requires an objective inquiry into the particular use, including the degree of difference from the original's purpose and the justification for copying. A new message or presentation cannot alone defeat the owner's rights in derivative uses. A publisher cannot make complete redistribution transformative merely by adding a better interface or describing the project as educational.¹⁰⁰

The standards cases identify a more specific justification. A work first published to state industry standards can be republished to identify rules that government has made legally consequential. The public audience includes not only practitioners seeking advice but people evaluating enforcement, reporting failures, proposed reforms, and the operation of public institutions. Faithful reproduction can serve that purpose even

⁹⁷ *TASB*, No. 1:25-cv-01863-DH, ECF No. 44, at 20–25.

⁹⁸ 17 U.S.C. § 107; *Campbell v. Acuff-Rose Music, Inc.*, 510 U.S. 569, 577–79 (1994), URL: <https://www.courtlistener.com/opinion/112936/campbell-v-acuff-rose-music-inc/> (visited on 09/11/2026).

⁹⁹ *Eldred v. Ashcroft*, 537 U.S. 186, 219–20 (2003), URL: <https://www.courtlistener.com/opinion/122254/eldred-v-ashcroft/> (visited on 09/13/2026).

¹⁰⁰ 17 U.S.C. § 107(1); *Andy Warhol Foundation for the Visual Arts, Inc. v. Goldsmith*, 598 U.S. 508, 525–32, 542–47 (2023) (Sotomayor, J.; Gorsuch, J., concurring; Kagan, J., dissenting), URL: https://www.supremecourt.gov/opinions/22pdf/598us2r23_6k47.pdf (visited on 09/11/2026).

when the words remain unchanged. In that setting, alteration could frustrate rather than advance the use, because a reader needs to know what the governing text says.¹⁰¹

The ASC presents a genuine difficulty within this reasoning. Unlike an old technical standard superseded as best practice but retained in a building code, the current Codification often serves professional accounting and legally required reporting at the same time. A public edition may serve some of the same research and educational purposes as the official publication. The difference between law and best practice is therefore not as sharp as it was for some standards in the appellate records. That is the strongest purpose objection, and personal-use viewing alone leaves it open. A court could find little transformation under *Warhol* because FAF and the public publisher both supply current rules for study. That finding would weaken the first factor; it would not decide fair use without the other factors and the justification for copying the rulebook as law.¹⁰²

A requirement to follow current GAAP gives publication of current rules a public-law purpose. The same fact that increases potential market overlap also increases the need for public access: these are the standards against which today's required reports are judged. A publication limited to closed reporting periods would preserve useful history while leaving the present legal obligation dependent on private permission. That is an incomplete remedy for present reporting duties. The proper inquiry is whether faithful publication of the currently operative rulebook is justified, despite the overlap, by its role in communicating public duties.¹⁰³

That justification is testable. A repository communicates the rulebook as law through specific features: source citations, effective dates, identified legal dependencies, and separation of generated aids. Readers can retain and examine the rulebook without one provider's continuing permission. A product marketed only as a cheaper replacement for FAF's Codification service presents a different case. These are differences in function and evidence.

Noncommercial educational use strengthens the public-repository case but does not decide it. *Hachette* held the library's use noncommercial but still weighed the first factor against it because the use was not transformative. Conversely, the Third Circuit did not treat a for-profit platform as disqualified where the challenged standards remained free and paid services supplied other functions. Purpose and commerciality must therefore be considered together without making either organizational form conclusive.¹⁰⁴

Authors Guild justified full-text indexing with limited display, not unrestricted publication of scanned books. The standards cases supply the rationale for displaying the complete legal framework.¹⁰⁵

¹⁰¹ *ASTM (D.C. Cir. 2023)*, 82 F.4th at 1268; *ASTM v. UpCodes*, No. 24-2965, slip op. at 14–22.

¹⁰² 17 U.S.C. § 107; *Warhol*, 598 U.S. at 547; *Campbell*, 510 U.S. at 577–78.

¹⁰³ *Warhol*, 598 U.S. at 547.

¹⁰⁴ *Hachette Book Group, Inc. v. Internet Archive*, No. 23-1260, slip op. at 35–39 (2d Cir. September 4, 2024), URL: <https://www.govinfo.gov/content/pkg/USCOURTS-ca2-23-01260/pdf/USCOURTS-ca2-23-01260-0.pdf> (visited on 09/11/2026); *ASTM v. UpCodes*, No. 24-2965, slip op. at 18–22.

¹⁰⁵ *Authors Guild v. Google, Inc.*, 804 F.3d 202, 215–18 (2d Cir. 2015) (Leval, J.), URL: <https://www.courtlistener.com/opinion/3124896/authors-guild-v-google-inc/> (visited on 09/11/2026).

FAF can point to its personal-use viewer. Its license, however, does not grant permission for the professional use involved in preparing, auditing, and explaining required reports. A free place to look at the text does not give that work a free path to the rules.

4.6 Why links fall short

NFPA v. UpCodes states that objection in its strongest judicial form. The district court found that UpCodes had copied material beyond the adopted rules and had used free standards to attract paying customers, and it declined to find fair use on summary judgment. Its answer to the access claim was one sentence:

UpCodes could have simply linked its users to NFPA’s Free Access.

106

A link lets a reader view the text under the host’s terms. The reader cannot preserve an assigned passage, share it lawfully with a client, or count on continued access if the service changes. An independent edition supports all three. The Third Circuit recognized benefits from enhanced access to law despite possible free viewing. The D.C. Circuit reached a similar conclusion on a record of deficient reading rooms, most opened after Public Resource began publishing.¹⁰⁷

FAF’s service allows people to read the rules without paying a subscription. It predates the proposed republication and has allowed search, printing, and copying since 2023. But Section 2.4 documents limits on search and browser access. More fundamentally, FAF permits links to its homepage while restricting links to individual provisions, and licenses the viewer for personal, noncommercial use. A controller preparing statements, an auditor testing them, and an adviser explaining them need professional access, not permission for personal reading (Section 5.1). A better viewing room is still a viewing room. *Veeck* refused to reduce public access to that minimum: public ownership of the law means it is in the public domain “for whatever use the citizens choose to make of it.”¹⁰⁸ The viewer’s terms also undermine its notice function: organizations learn their duties through the professional inquiry the grant excludes. Section 6.1 develops that argument and its consequences for agency publication and enforcement. The viewer also leaves readers under FAF’s continuing control, without an edition they can preserve, share, or cite by direct link.¹⁰⁹

NFPA made a second finding, that UpCodes copied beyond the adopted rules, and that finding is a scope objection rather than an access objection. The ASC response depends on the scope of the conformity duty. As argued in Section 3.2, that duty selects the complete current substantive Codification, with its own scope and transition rules, and Section 3.3 draws the boundary. Faithful publication preserves those limits,

¹⁰⁶ *National Fire Protection Ass’n, Inc. v. UpCodes, Inc.*, 753 F. Supp. 3d 933, ECF No. 232, at 32–35, 42 (C.D. Cal. 2024) (Garnett, J.; settled and dismissed Mar. 21, 2025), URL: <https://storage.courtlistener.com/recap/gov.uscourts.cacd.824556/gov.uscourts.cacd.824556.232.0.pdf> (visited on 09/11/2026).

¹⁰⁷ *ASTM v. UpCodes*, No. 24-2965, slip op. at 31 n.13; *ASTM (D.C. Cir. 2023)*, 82 F.4th at 1270.

¹⁰⁸ *Veeck*, 293 F.3d at 799.

¹⁰⁹ Financial Accounting Foundation, *FAF, Free Access Press Release*, supra note 7; Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5, §§ 2, 3(c)(i).

leaving excluded and superseded requirements marked as such and each paragraph confined to the entities it governs.

4.7 Nature: functional rules

The second factor is the nature of the copyrighted work. It asks what kind of work is copied, on the premise that some works lie closer to the core of copyright's protection than others: creative and unpublished works at the center, factual and functional works at the edge. The Codification is published, technical, and directed toward consistent accounting treatment. The standards cases give substantial weight to that functional character and legal role. The language may contain protected expression, but its function strengthens the justification for copying.¹¹⁰

FAF's strongest response concerns the work needed to express and organize the standards. That work can involve judgment and original expression: choosing examples, coordinating defined terms, resolving inconsistencies, and arranging the material. *Feist* permits protection for original selection and arrangement even when the underlying facts are free for all to use. Those choices make the framework valuable; they also make access to the framework necessary for readers applying the rules.¹¹¹

The value of that organization also explains why isolated sentences do not suffice: a definition's relationship to an exception can determine an outcome. Fair use permits analysis of that need even where the expression is protected. Decorative features and independent essays require a separate justification, as the content categories in Section 3.3 explain. If the organization is what makes the rules usable, the amount copied cannot be judged one sentence at a time. The third factor asks how much, and the answer follows from what the work is.

4.8 Amount: the complete rulebook

The third factor is the amount and substantiality of the portion used in relation to the copyrighted work as a whole. *Campbell* frames the question as whether the amount taken is reasonable in relation to the purpose of the copying, so the answer depends on the purpose the first factor identified. For the compilation claim, that work is the substantive Codification as Section 3.3 defines it, not everything on FAF's website. Assume in FAF's favor that a public edition reproduces the whole of every substantive standard it includes. The question is then whether complete copying is reasonable for publication of the adopted rulebook, and the standards cases say it can be: they do not require a public-law publisher to leave its repository incomplete merely to reduce the proportion copied.¹¹²

Completeness is the point, not an excess to be excused. A repository serves readers with different transactions, reporting dates, and reasons for examining compliance. It must let them determine which rules apply, not require them to know the answer before consulting the text. FAF can answer that no single reader needs all of it. But a

¹¹⁰ 17 U.S.C. § 107(2); *Campbell*, 510 U.S. at 586; *ASTM (D.C. Cir. 2023)*, 82 F.4th at 1268; *ASTM v. UpCodes*, No. 24-2965, slip op. at 22–23.

¹¹¹ *Feist*, 499 U.S. at 348–49.

¹¹² 17 U.S.C. § 107(3); *Campbell*, 510 U.S. at 586–87; *ASTM (D.C. Cir. 2023)*, 82 F.4th at 1269.

rule irrelevant to one institution remains part of the framework others must use. The justification must fit publication of the framework as a whole.

The D.C. Circuit's whole-standard reasoning supports that conclusion. It measures the copying against the legal-information purpose, recognizes that explanatory material can aid interpretation, and describes the repository's proper scope as "no more and no less" than the incorporated standards. The Third Circuit likewise rejects a rule that would strip nonmandatory material from a standard adopted as a whole, and its footnote 9 supplies the limiting rule:

The scope of the reference controls the extent of incorporation into the IBC, and thus the extent of incorporation into a building code that adopts the IBC.¹¹³

114

Applied here, the limiting principle is substantive authority under the conformity duty. Rules that determine whether financial statements conform belong to the adopted framework; texts that merely explain, criticize, or sell services around it do not enter by proximity, and Section 3.3 draws that line in detail. Complete copying of the framework so bounded is reasonable for the purpose. Whether it harms a market the law protects is the fourth factor's question.

4.9 Market: licensing and substitution

The fourth factor is the effect of the use upon the potential market for or value of the copyrighted work. It asks whether the copying substitutes for the original or for uses the owner would ordinarily license, and whether unrestricted conduct of the same kind would harm those markets, weighed against the public benefits of the use.¹¹⁵ Licensing receipts are evidence of a market, not a veto over the use being assessed. The court must examine the challenged use, the likely loss, and the public benefit of copying. FAF's personal-use viewer removed a reader subscription price, not its licensing business. FASB-content licensing revenue was \$17.903 million in 2022, before the 2023 viewing change, and \$19.138 million in 2025, so the revenue survived the change. Unrestricted republication is a larger step. The question is whether losses from faithful publication of the current legal rulebook justify exclusion, after accounting for the purpose and character of that publication. The analysis must distinguish a protected service market from a demand for permission to exercise a public right.¹¹⁶

The Third Circuit's 2026 decision is explicit on this point. Free copies can be effective substitutes, and that substitution is a kind of loss the market factor recognizes. The court nevertheless found the fourth factor equivocal on its record, considering uncertainties about the relevant market and the public benefits of enhanced legal

¹¹³ *ASTM v. UpCodes*, No. 24-2965, slip op. at 24–25 n.9.

¹¹⁴ *ASTM (D.C. Cir. 2023)*, 82 F.4th at 1269; *ASTM v. UpCodes*, No. 24-2965, slip op. at 24–26.

¹¹⁵ 17 U.S.C. § 107(4); *Campbell*, 510 U.S. at 590–92; *Google LLC v. Oracle America, Inc.*, 593 U.S. 1, 35–36 (2021), URL: https://www.supremecourt.gov/opinions/preliminaryprint/593US1PP_Watermarked.pdf (visited on 09/11/2026).

¹¹⁶ Financial Accounting Foundation, *FAF, Free Access Press Release*, supra note 7; Financial Accounting Foundation, *FAF Audited Financial Statements (2023)*, supra note 30, at 7; Financial Accounting Foundation, *FAF Audited Financial Statements (2025)*, supra note 17, at 11.

access. The D.C. Circuit also treated the factor as equivocal rather than declaring that a public-serving publisher cannot cause harm. Neither holding supports a blanket assertion that a free ASC edition competes with nothing.¹¹⁷

The historical-version distinction explains part of those results. The D.C. Circuit observed that all the standards before it had been updated, while regulators lagged in updating legal incorporations. The Third Circuit likewise identified a possible unusual market in which legally incorporated copies were substitutes for older works without displacing demand for the newer standards. Those facts cannot be assumed for current GAAP.¹¹⁸

The distinction follows from the different legal commands. As Section 3.2 establishes, a current conformity duty follows the operative framework, while formal incorporation can preserve a fixed edition. The favorable market analysis for older incorporated standards does not carry over intact. A current public ASC edition could replace a current licensed copy, so the substitution risk under the fourth factor is greater here. The overlap also gives FAF a stronger first-factor objection than the owners had where the legally binding edition was already out of date.

The same temporal fact sets the scope of the asserted fair use. Publishing only superseded standards would not tell a reader whether a report prepared today conforms to the rule the law invokes today. Under the third factor, the amount taken must answer that current legal-information purpose, subject to the content boundary in Section 3.3. Under the fourth, a court must count displacement of current licensed uses and assess the public benefit of an independently available current rulebook. The latter does not cancel the former. Nor can a claimed market for permission to publish the law, by itself, establish that the permission fee is a protected loss. The current-edition claim thus faces a harder market case than the standards precedents, while resting on a more immediate legal-information need.¹¹⁹

The fourth factor can account for those public benefits without denying substitution. In *Google v. Oracle*, the Supreme Court examined the source of likely revenue losses and the benefits copying could produce, rather than treating a dollar loss as decisive. That analysis was specific to software. The D.C. Circuit's standards decision supplies the closer connection: it weighed the benefits of access to law even assuming reduced demand. Together, the decisions support asking what the public would lose through exclusion, as well as what the publisher could lose through copying. Here that public loss includes reliable study, professional explanation, and scrutiny of today's legally required accounting treatments.¹²⁰

Congress finances standard setting through compulsory assessments. FAF also incurs costs to publish and deliver the Codification, and a public edition may reduce licensing revenue for those services. Its allocations and reserve use leave the division of costs between standard setting and publishing unclear in the public accounts. A

¹¹⁷ *ASTM v. UpCodes*, No. 24-2965, slip op. at 27–33; *ASTM (D.C. Cir. 2023)*, 82 F.4th at 1271–72.

¹¹⁸ *ASTM (D.C. Cir. 2023)*, 82 F.4th at 1271–72; *ASTM v. UpCodes*, No. 24-2965, slip op. at 29–31.

¹¹⁹ *Campbell*, 510 U.S. at 586–87, 590–92; *ASTM (D.C. Cir. 2023)*, 82 F.4th at 1271–72; *ASTM v. UpCodes*, No. 24-2965, slip op. at 29–33.

¹²⁰ *Google*, 593 U.S. at 35–36; *ASTM (D.C. Cir. 2023)*, 82 F.4th at 1271–72.

market analysis must identify which lost sales affect continued production and which reflect competition over access to legally required text.¹²¹

The history in Section 2.2 gives this distinction institutional weight: the funding scheme responds to dependence on interested contributors and purchasers. The assessment functions economically as a tax on a broad issuer base, with its burden distributed beyond the remitting companies. The professional-services licensing channel in Section 2.4 adds a separate cost of using that funded output. The resulting public contribution strengthens the access argument without treating every licensed service as unnecessary or every lost receipt as a threat to standard setting.

As the licensing accounts in Section 2.4 show, a downloadable edition could displace redistribution fees or parts of a licensed research service. But payment proves a transaction, not a right to prohibit every licensed use. Buyers may pay for certainty, convenience, authentication, updates, or freedom from litigation. Receipts do not separate those benefits from the asserted right to exclude public-law publication.¹²²

Ross makes the contrary market argument concrete. The district court rejected fair use for copying Westlaw headnotes, short summaries of legal points in opinions, to develop a competing legal search tool. It credited both the research-service market and a potential training-data market, and placed the burden of proving fair use on Ross. It rejected the public-access justification because the opinions themselves were freely available; the public had no corresponding right to Westlaw's editorial analysis. A public ASC publisher must likewise substantiate its defense, not demand that FAF disprove every possible public benefit.¹²³ After deciding *UpCodes*, the Third Circuit ordered the parties in *Ross* to address its effect on their appeal. The court heard argument on June 11, 2026. The relationship between public-law publication and copying a private research service's editorial work is thus before the same court.¹²⁴

But the subject of the copying changes the answer. Westlaw's headnotes explain law that exists independently of them. The ASC supplies the accounting requirements selected by the legal command. Official personal-use viewing leaves those requirements binding, and a training-data market says nothing about the distinct use of publishing the governing rulebook. *Ross* requires a supported justification for copying; the ASC's operative role supplies that justification here. The standards cases then explain why faithful public publication can outweigh an owner's interest in controlling copies. This

¹²¹ 15 U.S.C. §§ 7219(c)(1), (e), (j) ; Financial Accounting Standards Board, *FASB Audited Financial Statements* (2025), supra note 7, at 5, 7–8.

¹²² Financial Accounting Foundation, *FAF Audited Financial Statements* (2025), supra note 17.

¹²³ *Thomson Reuters Enterprise Centre GmbH v. ROSS Intelligence Inc.*, No. 1:20-cv-613-SB, slip op. at 15–19, 22–23 (D. Del. February 11, 2025) (Bibas, J., sitting by designation), URL: https://www.govinfo.gov/content/pkg/USCOURTS-ded-1_20-cv-00613/pdf/USCOURTS-ded-1_20-cv-00613-5.pdf (visited on 09/11/2026).

¹²⁴ *Order Requesting Supplemental Briefing on ASTM International v. UpCodes in Thomson Reuters v. Ross Intelligence*, U.S. Court of Appeals for the Third Circuit, April 27, 2026, URL: https://www.lawne xt.com/wp-content/uploads/2026/05/3d-Cir.-25-02153-dckt-000192_-01-filed-2026-04-27.pdf (visited on 09/13/2026); *Oral Argument File Listing: Thomson Reuters v. Ross Intelligence Inc.* U.S. Court of Appeals for the Third Circuit, June 11, 2026, URL: <https://www2.ca3.uscourts.gov/OralArgContentsAll.html> (visited on 09/13/2026).

is an argument from the use and legal role of the text, not an assumption that a free edition cannot compete with paid services.¹²⁵

The markets also differ in what a publisher can obtain elsewhere. Westlaw's headnotes sit on top of public-domain opinions available from courts and competing services. Ross could have used those opinions; it copied Westlaw's editorial work instead. FAF produces the ASC text, and other services carry it under license. A public publisher has no alternative source for the accounting rules invoked by the legal duty. FAF thus controls the supply of the rulebook itself. That is a monopoly over the law itself, not a market for services built on top of independently available law. A free ASC edition may displace licensing revenue. The fourth factor weighs that loss against the public benefit of publishing the governing text. Lost fees enter that balance as one weight among others.¹²⁶

The incentive reasoning of *Georgia*, examined in Section 4.1, reinforces the order of analysis: licensing receipts cannot define the legal scope of exclusivity by themselves.

An offered license establishes a possible sale; it does not settle the weight of that loss under the fourth factor. The standards cases also weigh the public benefits of reliable access to law when assessing asserted losses. Those benefits include informed compliance, criticism of enforcement, and debate about the rules themselves. They extend beyond a purchaser's savings.¹²⁷

The public needs the rules governing present reporting. Courts must weigh proven substitution in legitimate service markets against the benefit of access to those binding rules. A lost permission fee alone cannot settle that question.

The first factor presents a real contest between public-law explanation and overlap with FAF's current service. The second favors access to a published, functional rulebook. The third supports copying the substantive framework in full: its scope and timing rules determine which provisions govern each reader. The fourth counts lost sales of current licensed copies, but also the cost of leaving today's accounting duties behind a personal-use license. An edition limited to expired rules would avoid some sales loss by failing the people who need the law now.

Faithful publication of the current substantive Codification is fair use on this record. It gives readers the governing text, its applicability rules, and its effective dates; a shorter selection cannot serve the open set of entities bound by GAAP duties. FAF may still sell updates, authentication, research tools, and professional services. The claimed right to charge every public publisher for permission to reproduce the rules cannot outweigh the public purpose of making those rules usable. The conclusion concerns the defined rulebook in Section 3.3. Acquisition and accepted contractual promises present the separate issues examined in Section 5.

¹²⁵ *ROSS*, No. 1:20-cv-613-SB, slip op. at 22–23; *ASTM (D.C. Cir. 2023)*, 82 F.4th at 1271–72.

¹²⁶ *Banks*, 128 U.S. at 253; *ROSS*, No. 1:20-cv-613-SB, slip op. at 15–19; Financial Accounting Foundation, *FAF Audited Financial Statements (2025)*, supra note 17, at 11.

¹²⁷ *Campbell*, 510 U.S. at 590–92; *Google*, 593 U.S. at 35–36; *ASTM (D.C. Cir. 2023)*, 82 F.4th at 1271–72.

5. THE LICENSE AND PUBLIC USE

Section 4 made the case that copyright law lets the public copy the substantive ASC to comply with its obligations under the U.S. Code and the CFR. Its adopted-code and fair-use arguments face disputes over the scope of adoption and the market for current copies. Yet FAF has a second lock, and there is no other door. To read the ASC on FAF's site, a reader accepts terms that reserve free viewing for personal, noncommercial use and restrict copying. That grant excludes the ordinary work of the entities federal law directs to use GAAP. Other services carry FAF's text under license. A publisher seeking to make a public edition cannot turn to another source for the same rulebook. Even if copyright permits the copy, FAF can answer: you promised not to make it.

This section asks whether FAF can enforce that promise. The terms themselves preserve uses permitted by applicable law. Federal preemption offers a further answer if FAF uses a private promise to recover copying control that copyright denies. Misuse addresses restraints on how people study and explain the rules. Each argument has limits: a downstream reader may never have agreed to FAF's terms, while an account holder probably did. Payment, confidentiality, and system-access promises protect different interests.

5.1 What the license restricts

The distribution history in Section 2.4 establishes the distinction between personal-use viewing and public reuse. This subsection and the next read the operative restrictions; Section 5.3 then asks what they mean and whether they bind.

The Agreement numbers its provisions as sections; this Article calls them clauses, to avoid confusion with its own sections. Clause 2 permits access "for personal uses only." The preamble tells anyone seeking "any uses other than personal use" to ask FAF for permission. Controllers, auditors, and advisers using the ASC at work fall outside that stated permission. Clause 2 also denies users the right to copy, redistribute, or transfer the system from FAF's hosted environment, and it restricts electronic storage and repurposing in physical, electronic, or machine-readable form. Those restrictions cover ordinary preservation and independent publication, both of which require some copying. Viewing costs nothing, but the copying restriction remains.¹²⁸

As drafted, even copy-pasting a paragraph of the text, or a screenshot of it, into a slide deck, an email, or a Word document would violate clause 2. These acts put a portion of the text into storage outside the hosted environment. How can an accountant preserve the basis of their advice for a colleague or client to check? How could a professor teach the provisions without putting them in front of students? Those are the acts through which accounting obligations are understood and applied, and the clause puts every one of them in doubt.¹²⁹

The clause also forbids the act it licenses. No browser can display a page without transmitting the text to the reader's machine and holding it in memory and, ordinarily, in a cache on the hard drive. Clause 2 grants access and in the same breath denies any

¹²⁸ Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, *supra* note 5, § 2.

¹²⁹ *Id.* § 2.

right to reproduce the Codification “in any physical or electronic storage device, including without limitation, alternate environments, flash drives, hard drives or network servers.” Read literally, that ban would make every reader breach the agreement the moment a page renders. Either whoever wrote the clause did not understand how the system it licenses delivers its content, or the words are not meant to mean what they say. Neither reading helps FAF. The first shows that the storage restriction cannot be applied literally and must be confined by the purpose of personal access. The second concedes that the text overstates the restriction.¹³⁰

The grant is also narrower than the service’s public face suggests. The landing page offers the Codification “For Personal and Non-Commercial Use,” and the Agreement says the same four times: the preamble makes the text available “solely for your personal use,” clause 2 licenses access “for personal uses only,” clause 3(a)(j) bars use “for commercial purposes,” and clause 3(b) permits use only by “individual users engaged in an active user session for personal use.” Neither “personal” nor “commercial” is defined. Read as written, a controller closing her company’s books, an auditor testing them, and a lawyer advising on a disclosure are all using the Codification for a commercial purpose, and none of them is using it personally. The people the law binds are the people the personal-use license excludes. A reader who consults the Codification for fun is in compliance; a reader who consults it to comply is not. Read that way, the grant inverts the purpose of publishing law. Organizations learn their accounting obligations through the professional inquiry that these terms exclude. Section 6.1 explains why that exclusion undermines reliance on the viewer as notice of the governing rules. FAF will say that “personal” means individual rather than institutional and that “commercial” means selling the text rather than using it at work. Its own preamble answers: anyone seeking “any uses other than personal use” is told to write to FAF for permission, which is the licensing channel Section 2.4 describes. Reading “personal” to mean individual does not resolve the separate prohibition on commercial purposes or the direction to obtain permission for any nonpersonal use. The agreement’s definition of the user includes businesses and educational institutions, but eligibility to accept the agreement does not expand the uses its grant permits.¹³¹

FASB staff described Codification access as free for all stakeholders, including preparers and practitioners. FAF’s operative grant tells those same readers they may use the viewer only for personal purposes.¹³²

Clause 3(a) addresses copying, modification, distribution, network availability, commercial purposes, and use beyond a limited individual session. It also addresses automated systems and equivalent manual processes. But that subsection begins with an express qualification:

Except as expressly permitted by this Agreement or applicable law¹³³

¹³⁰ Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5, § 2.

¹³¹ Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5, §§ 2, 3(a)(j), 3(b); Workstream 04 research file, *WS04 Gating Probes*, supra note 25; Financial Accounting Foundation, *FAF Site Terms v2.1*, supra note 28.

¹³² Financial Accounting Standards Board Staff, supra note 26, at 1, 3.

¹³³ Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5, § 3(a).

The exception appears before clause 3(a)'s list of prohibitions. The anti-automation ban follows in a separate sentence, and clause 2's storage ban has no such exception. FAF may argue that those bans apply even when copyright permits the use. Clause 10(a), however, says FAF intends the agreement to comply with law. Section 5.3 addresses whether FAF can enforce a separate promise against lawful copying.¹³⁴

FASB's Rules of Procedure allow a limited number of copies for internal or personal use, but bar resale and external distribution. FAF's license restricts copying and storage more broadly. The Rules still describe the former paid Professional View, which limits what they tell us about today's service. Even so, FASB has expressly allowed some internal and personal copying.¹³⁵

5.2 Links, tools, and continued access

A reader can obey the ban on copying and still be unable to point someone to the rule. Clause 3(c)(i) permits links to FAF's designated home pages but bars links to the ASC page containing a specific provision. It invites requests for permission to link beyond a home page and separately restricts displaying FAF's pages through another website. Even permitted links must avoid harming FAF's reputation.¹³⁶

A teacher who links to an assigned topic and an accountant who links to the basis of advice are sending readers to FAF's own text. A link to the home page makes each reader search again for the provision. FAF can require accurate attribution and forbid false endorsement without barring a link to the source. The linking restriction impedes teaching and source checking even when no ASC text is copied.

Clause 3(b) restricts a different set of tools. It prohibits automated extraction from FAF's site and use of its content in connection with artificial intelligence, including training and development. The language extends beyond training a competing model. A blind accountant may need a screen reader to hear the rule; a reader with low vision may need magnification or browser zoom. Neither use requires artificial intelligence. Extracting the text to build a search index and training a model are different acts again.¹³⁷

The saved viewer pages fail basic accessibility checks. Both pages tell the browser to disable user scaling. In an offline rendering with JavaScript disabled, Topic 105 fails to reflow on a phone-sized screen: text and a table run beyond the viewport. The search failures in Section 2.4 make the governing provision harder to find as well. These barriers obstruct reading and navigation, especially for people who depend on enlargement or assistive software. The Department of Justice identifies browser zoom and screen-reader access as parts of web accessibility, and the Americans with Disabilities Act's effective-communication rule expressly names screen readers and

¹³⁴ Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5, §§ 2, 3(a), 10(a).

¹³⁵ Financial Accounting Standards Board, *Rules of Procedure, Amended and Restated through February 2025*, Financial Accounting Standards Board, February 2025, URL: <https://storage.fasb.org/Rules%20of%20Procedure-Feb%202025.pdf> (visited on 09/11/2026); Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5, § 2.

¹³⁶ Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5, § 3(c)(i).

¹³⁷ Id. § 3(b).

magnification software. These observed failures make the viewer’s ADA compliance doubtful.¹³⁸

FAF also reserves the right to terminate access without notice and disclaims uninterrupted service. A reader who cannot keep a dated copy must depend on that service to check what a rule said before FAF changed it. Preservation and version records would give students and professionals a stable source.¹³⁹

The license thus restricts copying, source links, and tools for working with the text, while keeping access dependent on FAF’s service. The next question is what an accepted agreement can forbid when copyright permits the use.

5.3 Who agreed and what they promised

Clause 6(a) claims that either access or a click starts the agreement. Assume the stronger case for FAF: a publisher clicked to accept the license before obtaining the ASC text. The question is what that publisher promised.¹⁴⁰

Clause 3(a) opens its list of prohibitions with an exception for uses “expressly permitted by this Agreement or applicable law.” Section 107 of the Copyright Act permits fair use. If faithful publication of the substantive ASC qualifies, the exception supplies a direct answer to the clause 3(a) copying ban. FAF may argue that fair use is too uncertain to count as express permission, but section 107’s permission survives the judgment its application requires.¹⁴¹

The license also contains restrictions outside that list. Clause 2 limits storage; clause 3(b) restricts machine use. Neither repeats clause 3(a)’s opening exception. Clause 10(a) states FAF’s intention to comply with law and leaves open how those separate promises apply. A publisher must therefore identify the conduct at issue and the promise FAF would enforce.¹⁴²

A reader of a public edition has made no promise to FAF merely by receiving it. The publisher who acquired the source text may have. The acquisition record identifies the party and terms; the next question is whether federal law permits FAF to enforce an accepted copying restriction against publication that copyright allows.

¹³⁸ Michael James Bommarito, *ASC Viewer Mobile Observation*, Research note, research/04-fasb-faf/asc-viewer-mobile-observation-2026-09-13.md, September 13, 2026; U.S. Department of Justice, Civil Rights Division, *Guidance on Web Accessibility and the ADA*, March 18, 2022, URL: <https://www.ada.gov/resources/web-guidance/> (visited on 09/13/2026); Auxiliary aids and services, 28 C.F.R. § 36.303(b)(2) (2010), URL: <https://www.ada.gov/law-and-regs/regulations/title-iii-regulations/> (visited on 09/13/2026).

¹³⁹ Financial Accounting Foundation, *FAF License Agreement* (10.10.24), supra note 5, §§ 4, 6.

¹⁴⁰ Id. § 6(a).

¹⁴¹ Financial Accounting Foundation, *FAF License Agreement* (10.10.24), supra note 5, § 3(a); 17 U.S.C. § 107.

¹⁴² Financial Accounting Foundation, *FAF License Agreement* (10.10.24), supra note 5, §§ 2, 3(b), 10(a).

5.4 Copyright preemption

The publisher in Section 5.3 accepted FAF's license before copying the ASC. Section 301 of the Copyright Act displaces state-law rights *equivalent* to copyright's exclusive rights in works within copyright's subject matter. The ASC's fixed text meets the subject-matter condition even where a particular rule or fact lacks protection. The dispute is over the right FAF would enforce: a distinct promise, or the exclusive power to stop a copy that copyright permits.¹⁴³

The Second Circuit asks what the contract claim would protect. In *Universal Instruments*, it held a claim preempted because the asserted promise against modifying software gave the owner the same control as copyright. Contractual privity did not supply a distinct right. The restriction there was inferred from the license, while FAF states its copying ban expressly. The case establishes the method of analysis, not the result for this agreement.¹⁴⁴

ML Genius applied that method to website terms barring copying, modification, sale, and distribution of online content. The court rejected the view that assent and consideration alone saved a claim seeking control over reproduction. Its decision is a nonprecedential summary order, but its facts are closer to FAF's online license than the payment promise in *Forest Park*. That earlier case allowed a claim for payment for use of a submitted television concept: payment added a duty distinct from the right to stop copying. It reserved the effect of adhesion terms that create a de facto copyright monopoly. FAF's proposed claim to stop an independent ASC edition would enforce a copying ban, not collect a separate fee.¹⁴⁵

ProCD remains the principal obstacle. The Seventh Circuit enforced a shrinkwrap license against a buyer who republished licensed data; strangers remained free to copy the underlying public telephone books. *Bowers* likewise enforced a software promise against reverse engineering. FAF's forum clause lets it sue outside New York, including in the Seventh Circuit. A court there could give assent greater force than the Second Circuit gives it in a claim focused on copying.¹⁴⁶

The ASC also strains *ProCD*'s division between buyer and stranger. FAF is the sole authorized source of the current rulebook, and other services carry it under FAF licenses. A reader of an independent edition owes FAF no promise merely by receiving it, but the publisher needs a source copy. If FAF can stop that publisher through a

¹⁴³ 17 U.S.C. § 301 ; *Forest Park Pictures v. Universal Television Network, Inc.*, 683 F.3d 424, 429–31 (2d Cir. 2012), URL: <https://www.courtlistener.com/opinion/803088/forest-park-pictures-v-universal-television-network-inc/> (visited on 09/11/2026).

¹⁴⁴ *Universal Instruments Corp. v. Micro Systems Engineering, Inc.*, 924 F.3d 32, 48–49 (2d Cir. 2019), URL: <https://www.courtlistener.com/opinion/4617529/universal-instruments-corp-v-micro-sys-engg-inc/> (visited on 09/11/2026).

¹⁴⁵ *ML Genius Holdings LLC v. Google LLC*, No. 20-3113, 2022 WL 710744, slip op. at 6–8 (2d Cir. March 10, 2022) (summary order), URL: <https://www.courtlistener.com/docket/60678163/genius-media-group-inc-v-google-llc/> (visited on 09/11/2026); *Forest Park*, 683 F.3d at 431–33.

¹⁴⁶ *ProCD, Inc. v. Zeidenberg*, 86 F.3d 1447, 1454–55 (7th Cir. 1996), URL: <https://www.courtlistener.com/opinion/720542/procd-inc-v-zeidenberg/> (visited on 09/11/2026); *Bowers v. Baystate Technologies, Inc.*, 320 F.3d 1317, 1324–26 (Fed. Cir. 2003), URL: <https://www.courtlistener.com/opinion/781029/harold-l-bowers-doing-business-as-hlb-technology-plaintiff-cross-v/> (visited on 09/11/2026); Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5, § 10(b).

general no-copy promise, it can keep the unbound public from receiving the edition copyright permits. Sole-source status strengthens the preemption argument; it does not create a categorical exception to contract law.¹⁴⁷

The particular claim and remedy decide the issue. A ban on republication tracks copyright's copying right. A promise to pay for a separate service, keep information confidential, or respect authenticated system access protects a different interest. Conflict preemption poses the further question whether a state remedy can restore exclusive control over rules the public must follow. Neither route has been decided for the ASC. Copyright misuse asks whether FAF may enforce its copyright while demanding the restriction.

5.5 Copyright misuse

Copyright misuse limits enforcement when an owner uses copyright to control conduct beyond the right's proper scope. The defense limits enforcement of the owner's copyright. Obtaining a copy is a separate matter. *Practice Management's* exclusivity arrangement illustrates the overreach.¹⁴⁸

In *Lasercomb*, the Fourth Circuit barred infringement relief because the owner's license reached beyond its software to prohibit independent development of competing software. The court did not require an antitrust violation or proof that the defendants had accepted the offending agreement. The public lost the creative work that the restriction prevented. That reasoning carries over to accounting law: enforcement should protect original expression, not suppress independent tools for studying and explaining the rules. The analogy holds once that broader restraint is shown; a copyright license on its own proves nothing.¹⁴⁹

FAF's linking terms identify a concrete concern. Clause 3(c)(i) permits links only to listed homepages, conditions that permission on not damaging FAF's reputation, and separately prohibits links to other pages. These restrictions can separate criticism or instruction from the exact accounting provision a reader needs to check. A ban on false endorsement protects a different interest from a ban on an accurate source link accompanying unwelcome criticism. Government's reliance on this framework strengthens the public interest in keeping those source links available.¹⁵⁰

Video Pipeline supplies both an analogy for the linking restriction and its limit. The Third Circuit recognized that using copyright to suppress criticism could conflict with copyright policy even outside ordinary competition restraints. But it rejected the misuse defense at the preliminary-injunction stage: the record did not show that Disney's trailer-license restrictions significantly impaired public access to criticism, which remained possible elsewhere. FAF's clause concerns links to the source of binding

¹⁴⁷ *ProCD*, 86 F.3d at 1454–55; Financial Accounting Foundation, *FAF Audited Financial Statements* (2025), *supra* note 17, at 11.

¹⁴⁸ *Practice Management*, 121 F.3d at 520–21.

¹⁴⁹ *Lasercomb America, Inc. v. Reynolds*, 911 F.2d 970, 978–79 (4th Cir. 1990), URL: <https://www.courtlistener.com/opinion/546900/lasercomb-america-inc-v-job-reynolds-larry-holliday-and-holiday-steel/> (visited on 09/11/2026).

¹⁵⁰ Financial Accounting Foundation, *FAF License Agreement* (10.10.24), *supra* note 5, § 3(c)(i).

rules. A publisher asserting misuse would need evidence that the restriction impairs source-linked teaching, professional explanation, or scrutiny of those rules.¹⁵¹

Assessment Technologies v. WIREDATA addresses using protected software to control unprotected public data. The Seventh Circuit distinguished the software's original organization from the underlying records and rejected using copyright to block their extraction. It also identified misuse concerns where copyright pressure seeks control beyond the owner's rights.¹⁵² The ASC analogy is strongest for government text and other unprotected material embedded in the service. Original accounting expression requires the additional public-access analysis developed here. Misuse must identify the overreach, not assume that every included item is unprotected.

Clause 3(b) restricts use of the Codification "in connection with" artificial intelligence. That language can reach a retrieval system that helps readers find and compare provisions, as well as model training. An ordinary screen reader need not involve artificial intelligence and should not be treated as prohibited on that ground alone. If FAF uses clause 3(b) to stop independent tools for finding and explaining mandatory rules, the restriction reaches conduct beyond copying the protected text. *Lasercomb* condemned a license that used copyright to bar independent competing software. The analogy turns on how FAF applies its clause and what tools it actually restrains; no cited court has decided misuse for an artificial-intelligence restriction.¹⁵³

The strongest misuse claim would arise if FAF invoked copyright to suppress source links or independent tools for navigating mandatory rules. Its force depends on the restraint FAF actually applies. It also leaves a separate question: how may a publisher obtain the text for a public edition?

5.6 Obtaining and sharing the text

The answer depends on the method of acquisition. A right to reproduce the rulebook does not authorize entry into restricted parts of FAF's system or bypassing a technological access control. Nor does one publisher's access dispute decide whether the rules themselves may be published.

Under the Computer Fraud and Abuse Act, *Van Buren* distinguishes access to permitted information from entry into areas off limits to the user. The Court reserved whether contractual limits alone can define that boundary. The Ninth Circuit's *hiQ* decision supports access to public information, while *Power Ventures* addresses materi-

¹⁵¹ *Video Pipeline, Inc. v. Buena Vista Home Entertainment, Inc.*, 342 F.3d 191, 204–06 (3d Cir. 2003), URL: <https://www.courtlistener.com/opinion/783414/video-pipeline-inc-v-buena-vista-home-entertainment-inc-buena-vista/> (visited on 09/11/2026).

¹⁵² *Assessment Technologies of WI, LLC v. WIREDATA, Inc.*, 350 F.3d 640, 644–45, 647 (7th Cir. 2003), URL: <https://www.courtlistener.com/opinion/784280/> (visited on 09/11/2026).

¹⁵³ Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5, § 3(b); *Lasercomb*, 911 F.2d 970.

ally different facts involving password-protected accounts. Unpaid viewing is therefore not the test of whether a particular access method is authorized.¹⁵⁴

Section 1201 separately regulates circumvention, bypassing a technological protection measure without authority. *Chamberlain* requires a connection to copyright infringement; *MDY Industries* rejects that requirement for access controls. In the Second Circuit, *Corley* rejects fair use as a general permission to circumvent. An asserted access-control claim still requires the protected work, effective measure, and unauthorized act specified by the statute.¹⁵⁵

The same statute's 2024 text-and-data-mining exemption permits controlled institutional research access. It does not authorize unrestricted public delivery. State-law trespass likewise turns on system interference: *Hamidi* rejected liability without damage or impaired functioning, while *eBay* involved consumed capacity and threatened impairment. These distinctions support lawful acquisition and responsible delivery without allowing access-method disputes to substitute for the copyright analysis in Section 4.¹⁵⁶

Machine-readable delivery can support preservation, comparison, accessible reading, and source-linked teaching. It is a format for the public publication defended in Section 4.5, not a separate claim that every downstream machine use is fair. Training, generated summaries, and public display involve different acts and markets. *Bartz* illustrates that separation by analyzing training, format conversion, and a retained library independently; its format-conversion holding did not permit redistribution. The ASC claim rests on public presentation of the governing rulebook itself.¹⁵⁷

¹⁵⁴ *Van Buren v. United States*, 593 U.S. 374, 378, 390 n.8 (2021), URL: <https://www.courtlistener.com/opinion/4888668/van-buren-v-united-states/> (visited on 09/11/2026); *hiQ Labs, Inc. v. LinkedIn Corp.*, No. 17-16783, slip op. at 36–37 (9th Cir. April 18, 2022), URL: <https://www.courtlistener.com/opinion/6460342/> (visited on 09/11/2026); *Facebook, Inc. v. Power Ventures, Inc.*, 844 F.3d 1058, 1067–69 (9th Cir. 2016), URL: <https://www.courtlistener.com/opinion/8443085/facebook-inc-v-power-ventures-inc/> (visited on 09/11/2026).

¹⁵⁵ *Chamberlain Group, Inc. v. Skylink Technologies, Inc.*, 381 F.3d 1178, 1202–04 (Fed. Cir. 2004), URL: <https://www.courtlistener.com/opinion/787580/the-chamberlain-group-inc-v-skylink-technologies-inc/> (visited on 09/11/2026); *MDY Industries, LLC v. Blizzard Entertainment, Inc.*, 629 F.3d 928, 950–52 (9th Cir. 2010) (amended 2011), URL: <https://www.courtlistener.com/opinion/205002/mdy-industries-llc-v-blizzard-entertainment/> (visited on 09/11/2026); *Universal City Studios, Inc. v. Corley*, 273 F.3d 429, 443–44 (2d Cir. 2001), URL: <https://www.courtlistener.com/opinion/775783/universal-city-studios-inc-v-corley/> (visited on 09/12/2026); Circumvention of copyright protection systems, 17 U.S.C. § 1201(a)(1), (3) (2024), URL: <https://www.govinfo.gov/content/pkg/USCODE-2024-title17/html/USCODE-2024-title17-chap12-sec1201.htm> (visited on 09/12/2026).

¹⁵⁶ Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, 89 Fed. Reg. 85437 (codified at 37 C.F.R. § 201.40), 85443, 85447 (October 28, 2024), URL: <https://www.govinfo.gov/content/pkg/FR-2024-10-28/pdf/2024-24563.pdf> (visited on 09/11/2026); *Intel Corp. v. Hamidi*, 30 Cal. 4th 1342, 1347–48 (Cal. 2003), URL: <https://www.courtlistener.com/opinion/2513963/intel-corp-v-hamidi/> (visited on 09/11/2026); *eBay, Inc. v. Bidder's Edge, Inc.*, 100 F. Supp. 2d 1058, 1071–72 (N.D. Cal. 2000), URL: <https://www.courtlistener.com/opinion/2478126/ebay-inc-v-bidders-edge-inc/> (visited on 09/11/2026).

¹⁵⁷ *Bartz v. Anthropic PBC*, No. 4:24-cv-05417 (Order on Fair Use), ECF No. 231, at 9–11, 18–23, 31–32 (N.D. Cal. June 23, 2025) (Alsup, J.), URL: https://www.govinfo.gov/content/pkg/USCOURTS-ca-nd-4_24-cv-05417/pdf/USCOURTS-cand-4_24-cv-05417-0.pdf (visited on 09/12/2026).

5.7 Rights beyond the license

The license is FAF's strongest route to stopping an independent edition. An account holder who clicked through clear terms cannot dismiss the promise by invoking fair use. But clause 3(a) begins by preserving uses permitted by applicable law. If that exception covers the publication defended here, there is no breach of the copying restriction. If it does not, the preemption claim addresses the harder case: FAF should not be able to turn the only authorized source of a legally operative rulebook into a private veto over the public's right to copy it. *ProCD* and *Bowers* remain serious obstacles to that claim.

A reader who receives a public edition has not agreed to FAF's terms merely by reading it. The publisher who acquired the source text faces the real contract risk. Its acquisition record and any agreement it accepted will decide whom FAF can sue. Those facts do not change the central problem: enforcement against the source of a public edition can deprive strangers to the contract of the edition copyright law would allow them to use.

The remedies differ sharply. If copyright permits publication, FAF has no infringement claim for that act and cannot claim copyright's statutory damages or fee shifting for it. FAF can still seek contract damages or an injunction against a party who broke an enforceable promise. Clause 10(b) declares that breach warrants an injunction, but *Baker's Aid* holds that courts make that determination for themselves, whatever the contract recites. FAF must establish the harm required for that remedy. *Georgia* recognized that the prospect of penalties can deter citizens and research companies from using legal works. Copyright's statutory remedies make that threat acute. A free license cannot supply those remedies merely by calling lawful publication a breach.¹⁵⁸

6. SECURING PUBLIC ACCESS

Reliable access requires more than a successful defense in a particular dispute. Institutions need a dependable source, identifiable versions, and clear permission for professional use, preservation, and reuse. The federal record contains both explicit ASC incorporations and broader GAAP duties; neither can be answered merely by pointing to a personal-use viewer. This section connects agency publication duties to delivery arrangements, then evaluates the roles of FAF, the SEC, and Congress in securing those conditions.

6.1 Formal incorporation by reference

Incorporation by reference is a method of making identified outside material part of a legal instrument without reproducing its full text there. For federal publication purposes, section 552(a)(1) supplies a specific rule: material reasonably available to the affected class is treated as published in the Federal Register when incorporated

¹⁵⁸ Financial Accounting Foundation, *FAF License Agreement* (10.10.24), *supra* note 5, § 10(b); *Baker's Aid v. Hussmann Foodservice Co.*, 830 F.2d 13, 16 (2d Cir. 1987), URL: <https://www.courtlistener.com/opinion/495057/bakers-aid-a-division-of-m-raubvogel-co-inc-v-hussmann-foodservice/> (visited on 09/13/2026); *Georgia*, 590 U.S. at 275.

with the Director's approval. The provision also limits adverse reliance on matters required to be published but not published, subject to actual notice received in time.¹⁵⁹

Approval, availability, and actual notice address legal publication, access, and the consequences of a publication defect. Constitutional fair notice likewise requires government to give regulated persons adequate notice of what it requires. In *FCC v. Fox Television Stations*, the Supreme Court rejected enforcement of an agency's changed interpretation against broadcasts made before adequate notice of the change. *Lambert* concerned the narrower case of a passive failure to register without knowledge or circumstances prompting inquiry. For the ASC, the constitutional question concerns government's enforcement of accounting duties through text whose access terms restrict the professional inquiry needed to identify them. The agency's publication and availability duties remain even when a private body owns the text.¹⁶⁰

Part 51 gives that incorporation mechanism greater precision. An agency must identify the publication, explain access, obtain approval, and ensure a copy is on file. The incorporation is limited to the approved edition; future revisions are not included automatically. A general duty to follow an evolving GAAP framework works differently: the duty's scope follows the framework, while formal incorporation fixes an approved edition.¹⁶¹

A link to the latest Codification may omit an edition incorporated years earlier. Readers need the approved text even when professional practice has moved on. A current website can thus be incomplete as a repository of governing versions.

The Education Department's financial-reporting and financial-responsibility rules formally incorporate specific ASC material and an Accounting Standards Update for defined purposes. They show the formal mechanism in use for ASC text, beyond a general GAAP reference.¹⁶²

They also demonstrate why scope cannot be inferred from a title alone. A rule may incorporate related-party guidance while imposing disclosure obligations that go beyond the accounting standard. Another provision may identify presentation or lease material for a particular financial-responsibility calculation. A reader must distinguish the adopted text, the regulatory supplement, and the covered institution. The external standard is part of the legal analysis, not a replacement for reading the surrounding rule.

These rules incorporate specified ASC material, not the entire Codification. Other rules impose general duties to follow GAAP without separately incorporating each Topic. Formal incorporation fixes an approved edition; general conformity duties can follow a changing framework. To determine whether the incorporated material is

¹⁵⁹ Public information; agency rules, opinions, orders, records, and proceedings, 5 U.S.C. § 552(a)(1) (2024), URL: <https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title5-section552&num=0&edition=prelim> (visited on 09/11/2026).

¹⁶⁰ *FCC v. Fox Television Stations, Inc.*, 567 U.S. 239, 253–55 (2012), URL: <https://tile.loc.gov/storage-services/service/ll/usrep/usrep567/usrep567239/usrep567239.pdf> (visited on 09/13/2026); *Lambert v. California*, 355 U.S. 225, 228–30 (1957), URL: <https://www.courtlistener.com/opinion/105596/lambert-v-california/> (visited on 09/11/2026).

¹⁶¹ Incorporation by Reference, 1 C.F.R. §§ 51.1(f), 51.3(b), 51.5(b) (2026), URL: <https://www.ecfr.gov/current/title-1/chapter-II/part-51> (visited on 09/11/2026).

¹⁶² 34 C.F.R. § 668.23(i) ; 34 C.F.R. § 668.172(e) ; 34 C.F.R. § 668.175(i) .

available, one must inspect the filed editions and approval records. A citation in the regulation cannot show whether those materials are complete or accessible.

The Education Department has made specified ASC text part of its rules. Other federal provisions make GAAP conformity a legal condition across many settings. OFR approval settles the publication status of identified editions. The broader duties still require readers to find and use the operative accounting framework.

6.2 Availability and reuse

The Office of the Federal Register's 2014 rulemaking rejected a categorical requirement that all incorporated material be freely available online. It instead required agencies to discuss reasonable availability and explain how interested persons could obtain the material. This is important adverse authority for a claim that existing incorporation rules already compel an unrestricted public license. The current regulatory approach is more contextual than that claim allows.¹⁶³

Part 51 nevertheless requires more than a place to look. Section 51.7(a)(3) requires a publication to be

reasonably available to and usable by the class of persons affected.¹⁶⁴

Section 51.9(b)(4) requires an official showing of where copies can be examined and readily obtained "with maximum convenience to the user."¹⁶⁵ Naming the owner satisfies none of that; the agency must address the reader's ability to use and obtain the text.

Knowing that GAAP conformity is required does not reveal the applicable accounting treatment. As Section 3.2 explains, a reader must compare scope rules, definitions, exceptions, and effective dates before identifying the governing provision. Organizations ordinarily conduct that inquiry through controllers, auditors, and outside advisers. Professional consultation is part of how they learn their obligations. Saving passages, comparing versions, and sharing the relevant text with an adviser let them check that they have identified the correct requirement.

FAF's personal-use viewer cannot by itself answer the availability inquiry for that affected class. On the terms examined in Section 5.1, the grant excludes the professional purpose for which those readers must consult the text and directs them to seek separate permission. A channel offered to learn mandatory rules must accommodate the ordinary process of finding out what those rules require. Government cannot establish that it has done so merely by pointing to a free webpage whose terms exclude that process. The search and access failures in Section 2.4 compound the difficulty. Together, these restrictions call for an account of how affected persons can obtain and use the governing text for compliance.¹⁶⁶

An agency may point to a licensed service, its own filed copy, or a copy at the National Archives and Records Administration. The inquiry then concerns the correct edition,

¹⁶³ Office of the Federal Register, *Incorporation by Reference*, Final rule 79 Fed. Reg. 66267, National Archives and Records Administration, November 7, 2014, URL: <https://www.govinfo.gov/content/pkg/FR-2014-11-07/pdf/2014-26445.pdf> (visited on 09/11/2026) at 66268.

¹⁶⁴ 1 C.F.R. § 51.7(a)(3).

¹⁶⁵ Id. § 51.9(b)(4).

¹⁶⁶ Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5, §§ 2, 3(a)(j).

the terms of access, and its practical availability to the affected class. For a particular enforcement action, section 552(a)(1) also preserves the effect of actual notice received in time. A person who already knows the applicable requirement does not lose that knowledge because copying is restricted. These questions determine the publication and notice consequences; the argument for complete public republication rests on the copyright analysis in Section 4.¹⁶⁷

The Office's Handbook states the practical consequence:

Read-only access, on its own, may not meet the reasonably available requirement at the final rule stage of rulemaking since those who must comply with the regulations may need full access to an online version or their own copy of the material.¹⁶⁸

The Handbook's guidance separates a chance to view a rule from the ability to keep a dependable copy for compliance.

The Handbook also refuses approval of a third-party website or a page with dynamically generated content. It requires a dated, identified version and an electronic copy for the Office's records. A database's data may qualify as it exists on a specified date even though the database application does not. These limits concern the object of formal incorporation; they do not prohibit a website from displaying an approved, fixed standard. For the ASC, the question is whether a specific edition was approved and remains available, not whether the viewer uses modern web technology. A changing viewer cannot substitute for the approved text or automatically amend that incorporation.¹⁶⁹

The fair-use treatment of reading rooms in Section 4.5 addresses a different legal question. Here the issue is the agency's compliance with publication and availability requirements, not an automatic license to copy.

The same balance between mandated availability and private standards funding appears in the Administrative Conference's recommendations and in the standards policy reflected in Office of Management and Budget Circular A-119. Agencies can seek access arrangements while using outside expertise and accounting for the economics of standards production. But the policies governing voluntary consensus technical standards should not be assumed to apply identically to FASB's statutory recognition arrangement. The accounting case requires attention to its own institutional and funding rules.¹⁷⁰

¹⁶⁷ 5 U.S.C. § 552(a)(1) ; 1 C.F.R. §§ 51.7(a)(3), 51.9(b)(4) .

¹⁶⁸ Office of the Federal Register, *Incorporation by Reference Handbook*, Handbook, National Archives and Records Administration, June 2023, URL: <https://www.archives.gov/files/federal-register/write/handbook/ibr.pdf> (visited on 09/11/2026) at 9, § III.E.

¹⁶⁹ Id. at 9–10, §§ III.F–G.

¹⁷⁰ Administrative Conference of the United States, *Recommendation 2011-5, Incorporation by Reference*, Recommendation 77 Fed. Reg. 2257, Administrative Conference of the United States, January 17, 2012, URL: <https://www.govinfo.gov/content/pkg/FR-2012-01-17/pdf/2012-621.pdf> (visited on 09/11/2026) ¶¶ 1–4; Office of Management and Budget, *Circular No. A-119: Federal Participation in the Development and Use of Voluntary Consensus Standards and in Conformity Assessment Activities*, Circular, Executive Office of the President, January 22, 2016, URL: https://www.nist.gov/system/files/revised_circular_a-119_as_of_01-22-2016.pdf (visited on 09/11/2026) at 20–21, § 5(f).

6.3 Consequences of limited access

Section 552(a)(1) protects a person from adverse reliance on matter required to be published but not published, except where that person has actual notice in time. It reaches substantive rules and generally applicable agency interpretations. If an agency makes an external accounting requirement the basis of an adverse decision, the affected party can ask whether the agency published that requirement or satisfied the formal incorporation alternative. A link alone answers neither question.¹⁷¹

Appalachian Power illustrates the distinction:

reasonable availability is not a substitute for publication; it is one of two conjunctive requirements¹⁷²

The other requirement was the Director's approval. The agency could not replace actual notice with an opportunity to find a document when it had not identified which information in that document would bind the petitioners. The court held the regulation unenforceable for defective publication and allowed the agency to act again on remand.

The ASC application requires an instrument-specific showing. The Education Department approvals identify particular ASC material and editions; they provide no publication status for the entire current Codification. An agency may contend that its published GAAP rule already states the obligation and that the external text identifies a recognized accounting framework. A challenger must identify the unpublished requirement, its effect on the claimant, and any proof of actual notice. Even if the agency wins that publication dispute, the operative accounting text remains necessary to understand the duty.

Nguyen adds a different limit. Although an agency instruction should have been published, the Ninth Circuit denied relief because it did not adversely affect the claimant's substantive rights. The court examined changes to existing practice, departure from ordinary regulatory meaning, and binding limits on official discretion. An ASC-based challenge must identify how the disputed requirement affected the claimant's rights or obligations; finding an unpublished document is not enough.¹⁷³

This route supports a demand for adequate publication and a defense against particular enforcement. The public-publication defense for third parties rests instead on the copyright analysis in Section 4. The administrative argument shows that dependable access to the governing text is a duty the law already imposes, whatever a publisher's service preferences.

Formal incorporation makes identified outside text legally operative when its approval and availability requirements are met. A durable access arrangement must preserve those identified editions alongside the current framework, so readers can check both present duties and past reports.

¹⁷¹ 5 U.S.C. § 552(a)(1)(D)–(E).

¹⁷² *Appalachian Power Co. v. Train*, 566 F.2d 451, 455–57 (4th Cir. 1977), URL: <https://www.courtlistener.com/opinion/8915887/appalachian-power-co-v-train/> (visited on 09/11/2026).

¹⁷³ *Hung Hy Nguyen v. United States*, 824 F.2d 697, 699–702 (9th Cir. 1987), URL: <https://www.courtlistener.com/opinion/491743/hung-hy-nguyen-dba-mekong-market-v-united-states/> (visited on 09/11/2026).

6.4 Separating the text from services

Existing arrangements separate authoritative text from research services and set different terms for reuse. Three comparisons help identify what an ASC access arrangement must provide.

GARS is the closest institutional comparison because it shares FAF's publishing structure. Before the joint 2023 viewing change described in Section 2.4, GASB's 2013 launch already offered the full Professional View content through Basic View with fewer navigation features. That separation lets readers obtain the text while paying for stronger research tools. The joint license still confines reuse to personal viewing; public ASC access requires permission to preserve and share the standards.¹⁷⁴

The same delivery choice appears abroad. The European Union and India publish accounting text alongside the legal command. EU endorsement instruments reproduce specified international accounting standards for covered accounts. India's 2015 rules publish the selected standards, including scope and transition provisions, in a Gazette appendix. These arrangements make the legally selected text identifiable independently of the standard setter's latest commercial product.¹⁷⁵ The IFRS Foundation describes a copyright-waiver arrangement supporting EU publication and translation. The waiver shows how the parties secured delivery through agreement; its unpublished terms leave downstream permissions unresolved.¹⁷⁶

The Court of Justice of the European Union reached a related conclusion in *Public.Resource.Org and Right to Know*. It found an overriding public interest in disclosing the requested technical standards because their legal effects made them part of EU law. The case concerns access to EU documents. Its reasoning adds a public-law reason to make legally consequential standards available.¹⁷⁷

The Uniform Commercial Code offers FAF a narrower comparison. Its private drafters earn publishing royalties, and the model text is sold. But each state enacts

¹⁷⁴ Governmental Accounting Standards Board, *GASB Announces the Launch of the Governmental Accounting Research System Online*, News release; Internet Archive snapshot 20220627200822, March 14, 2013, URL: https://web.archive.org/web/20220627200822id_/https://www.gasb.org/page/getarticle?uid=gasb_NewsRelease03-14-13Body_0228221200 (visited on 09/12/2026); Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5, §§ 1(b), 2–3.

¹⁷⁵ Regulation (EC) No 1606/2002 of the European Parliament and of the Council of 19 July 2002 on the application of international accounting standards, Regulation (EC) No 1606/2002 (2002), URL: <https://eur-lex.europa.eu/legal-content/EN/TXT/HTML/?uri=CELEX:32002R1606> (visited on 09/11/2026); Commission Regulation (EC) No 1126/2008 of 3 November 2008 adopting certain international accounting standards in accordance with Regulation (EC) No 1606/2002 of the European Parliament and of the Council, Commission Regulation (EC) No 1126/2008, consolidated CELEX 02008R1126-20230101 (2008), URL: <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:02008R1126-20230101> (visited on 09/11/2026); Companies (Indian Accounting Standards) Rules, 2015, G.S.R. 111(E), rules 3–4 and Annexure (February 16, 2015), URL: [https://thc.nic.in/Central%20Governmental%20Rules/Companies%20\(Indian%20Accounting%20Standards\)%20Rules,2015.pdf](https://thc.nic.in/Central%20Governmental%20Rules/Companies%20(Indian%20Accounting%20Standards)%20Rules,2015.pdf) (visited on 09/11/2026).

¹⁷⁶ IFRS Foundation, *European Union: IFRS Accounting Standards Jurisdiction Profile*, October 2, 2024, URL: <https://www.ifrs.org/use-around-the-world/use-of-ifrs-standards-by-jurisdiction/view-jurisdiction/european-union/> (visited on 09/11/2026).

¹⁷⁷ *Public.Resource.Org Inc. and Right to Know CLG v. European Commission*, Case C-588/21 P, ECLI:EU:C:2024:201, ¶¶ 85–90 (C.J.E.U. March 5, 2024) (Grand Chamber), URL: <https://eur-lex.europa.eu/legal-content/EN/TXT/?uri=CELEX:62021CJ0588> (visited on 09/12/2026).

its own statutory text. Much of the UCC also supplies default rules for commercial contracts: parties can vary many provisions by agreement, though they cannot disclaim duties such as good faith. Federal accounting requirements work differently. They can require GAAP conformity, and some formally incorporate specified ASC material. FAF's Codification remains the authoritative source of nongovernmental GAAP. The UCC shows that private drafting can earn revenue alongside public law, and says nothing about whether FAF may restrict publication of a rulebook that federal law requires filers to follow.¹⁷⁸

These comparisons support a concrete design: secure the authoritative text and version history, permit preservation and sharing, and leave independent commentary and tools available for commercial development. The terms must state those permissions; a downloadable file or a retained copyright notice alone defines nothing.

6.5 Requirements for public access

Public access must cover the complete current substantive Codification defined in Section 3.3. Delivery should identify authoritative text, support human and machine reading, permit preservation and sharing, and record corrections. These requirements make the public right usable.

The terms must also permit professional use. A controller preparing a filing, an auditor checking it, and an adviser explaining it cannot rely on a grant limited to personal, noncommercial viewing. A dependable public edition must allow those readers to use and cite the text without obtaining separate permission for the work the law requires. The three express Education Department incorporations demonstrate the need for dated, identified text; the wider federal GAAP duties require access to the current framework.¹⁷⁹

Access must also preserve history through dated releases, effective dates, and visible corrections. Replacing old text cannot establish which rules governed a past reporting period. Current releases must remain distinguishable from legally specified editions under federal incorporation rules.¹⁸⁰

Delivery on those terms still requires resources. FAF need not supply unlimited computing capacity or personal support without charge. Reasonable service limits and paid tools can coexist with public reuse. The arrangement should distinguish uses of a received copy from access to the publisher's systems.

¹⁷⁸ Uniform Law Commission, *Uniform Commercial Code*, 2026, URL: <https://www.uniformlaws.org/acts/ucc> (visited on 09/11/2026); Washington Uniform Commercial Code: Variation by Agreement, Wash. Rev. Code 62A.1-302, § 62A.1-302 (2012), URL: <https://lawfilesexternal.wa.gov/law/RCWPDF/RCW%20%2062A%20TITLE/RCW%20%2062A.%20%201%20%20CHAPTER/RCW%20%2062A.%20%201%20%20302.pdf> (visited on 09/13/2026).

¹⁷⁹ Financial Accounting Foundation, *FAF License Agreement (10.10.24)*, supra note 5, §§ 2, 3(a)(j); 34 C.F.R. § 668.23(i); 34 C.F.R. § 668.172(e); 34 C.F.R. § 668.175(i).

¹⁸⁰ 1 C.F.R. pt. 51.

6.6 Voluntary access

FAF could grant a public license permitting faithful copying, sharing, preservation, and format conversion of the substantive standards. It could require attribution, version labels, and marked changes. Permissions for released versions should survive changes to the service or its terms.

The shared delivery history in Section 2.4 supplies an institutional starting point; permission for public reuse is the next step.

A proposed feed of dated releases would give libraries, educators, and competing services stable paragraph identifiers, dates, change lists, and a way to check received files against published releases. The same precision should govern permissions: each should identify the content it covers, because FAF cannot grant rights owned by others.

The arrangements in Section 6.4 demonstrate the separation of legal text from services. A public feed of dated releases would apply that separation to the substantive ASC.

Openness on those terms has a cost. An open license may reduce product revenue and enable competing services. FAF could identify core maintenance costs and services valuable without exclusive control over copying. Section 7219 preserves publication revenue without requiring exclusive products. Mandatory support fees make funded public access possible, not costless.¹⁸¹

The SEC's Investor Advisory Committee provides a forum for extending the access work described in Section 2.4 from viewing to durable reuse.

Private settlement offers a different route. The NFPA litigation ended through negotiation. The March 2025 dismissal order recorded agreement to resolve the case while final settlement and license documents were being negotiated. NFPA's litigation consultants later reported that the settlement granted UpCodes a license to certain standards. Neither the order nor the consultants' account discloses the financial terms. The settlement ended that dispute while leaving the price and scope of public-access rights unreported.¹⁸²

Negotiation can resolve permission, delivery, and funding together, but depends on agreement. Express permissions should preserve statutory defenses, not purport to define the limits of fair use.

6.7 Oversight and licensing transparency

The fair-use and public-domain arguments above stand on their own and require no proof that licensing has compromised independence. Section 7219(j) supplies a separate reason to examine commercial dependence. Congress permits additional revenue only subject to the Commission's judgment about actual and perceived independence, and

¹⁸¹ 15 U.S.C. § 7219 .

¹⁸² *National Fire Protection Association, Inc. v. UpCodes, Inc.*, No. 2:21-cv-05262-SPG-E, ECF No. 309, at 1–2 (C.D. Cal. March 21, 2025) (order retaining limited jurisdiction), URL: <https://cases.justia.com/federal/district-courts/california/cacdce/2:2021cv05262/824556/309/0.pdf> (visited on 09/12/2026); Analysis Group, *National Fire Protection Association, Inc. v. UpCodes, Inc., et al.* URL: <https://www.analysisgroup.com/Insights/cases/national-fire-protection-association-inc-v-upcodes-inc-et-al/> (visited on 09/12/2026).

the provision speaks of jeopardy to that independence. That preventive language authorizes inquiry before any particular accounting decision has changed.¹⁸³

The review practice established in Section 2.5 supplies an administrative home for that inquiry. The next step is a public explanation of how licensing relationships are assessed.

The Commission enforces GAAP conformity against the readers the personal-use grant excludes. Its review should ask whether FAF's free channel can serve as notice of the rules the Commission enforces, and, if it cannot, require a grant that covers the readers those rules bind.

The Commission should examine dependence on major licensees, renewal and termination rights, redistribution arrangements, and any connection between commercial relationships and standard-setting decisions. The account-level evidence in Section 2.4 shows the scale of commercial activity. Only a review with access to the contracts can show how concentrated that revenue is and what leverage particular licensees hold.

The safeguards described in Section 2.5 provide concrete standards against which to assess implementation. The review should examine the disclosures, recusals, minutes, and any waivers that those safeguards generate.

The SEC should publish a reasoned account of how it assesses licensing dependence, with aggregate figures where confidentiality limits disclosure of individual contracts. Durable public reuse would reduce the leverage that discretionary permissions give to major licensees, while leaving firms free to sell tools and advice. The 2003 policy statement adds a second commitment that any review should keep in view: the Commission itself does not dictate the direction or outcome of specific FASB projects.¹⁸⁴

6.8 Regulation and legislation

A negotiated arrangement differs from an SEC-imposed condition. Section 19(b) sets criteria for recognizing a private standard setter, and Congress preserved the Commission's accounting authority. Section 7219 supplies a funding structure and Commission review functions. These provisions establish a substantial institutional connection. They do not expressly direct the Commission to require a universal, irrevocable public copyright license.¹⁸⁵

Recognition concerns FASB's standard-setting role; a negotiated license of FAF's rights requires FAF's participation. The independence condition supports the review proposed above. An order requiring FAF to license the ASC to everyone would need a different source of authority.¹⁸⁶

The SEC should pursue durable access through negotiation and any conditions its statutory authority supports. A compulsory condition would need a stated legal basis, an appropriate procedure, and a record connecting it to financial reporting and the public interest. The central objection is that recognition and fee-review powers do not authorize restructuring private rights, especially where Congress preserved

¹⁸³ 15 U.S.C. § 7219(j) .

¹⁸⁴ U.S. Securities and Exchange Commission, *SEC Release No. 33-8221*, supra note 10, Part II.D.

¹⁸⁵ 15 U.S.C. § 77s ; 15 U.S.C. § 7218 ; 15 U.S.C. § 7219 .

¹⁸⁶ 15 U.S.C. § 77s(b) ; 15 U.S.C. § 7219(j) .

publication revenue. Formal incorporation duties support publication of particular editions, but do not themselves grant a general reuse license.¹⁸⁷

An imposed license beyond existing public-use rights raises the Takings Clause question analyzed in Section 4.1. The funding history in Section 2.2 supports scrutiny of commercial dependence, but establishes neither surrender of copyright nor compensation for a compulsory license. A condition must identify the rights it burdens, its statutory basis, and any compensation required. Recognizing fair use instead enforces copyright's existing boundaries and takes nothing new from FAF.¹⁸⁸

Congress could expressly define covered standards, permitted uses, historical versions, and publisher duties, distinguishing core text from commentary and third-party works. It could assign preservation responsibilities and fund delivery and maintenance. These would be new legislative choices.

Congress could fund a durable public license for the complete current substantive Codification and updates, securing delivery, maintenance, and rights beyond already lawful uses. Valuation must account for fair use and the rights actually held. An imposed license also requires authority and analysis of compensation. *Practice Management's* royalty discussion offers a possible remedy, not a settled program.¹⁸⁹

The existing-law defense is available now, before any payment. Negotiation or legislation can secure reliable access without making each reader litigate. Paying for certainty and service is consistent with the public having held the right to use the law all along.

The Pro Codes Act proposals, H.R. 4072 and S. 4145, would preserve copyright in qualifying incorporated standards through free online display with specified features. They do not require standard setters to permit downloading, printing, or redistribution. Their technical-standards definitions also require separate analysis before application to FASB's statutory arrangement. Readers need broader rights: access to the complete current substantive Codification, with permission to preserve and share it. Students could keep the rules they study, and professionals could share the sources of their advice. Public access would survive withdrawal of the publisher's hosted service. The pending proposals do not moot that argument or make their approach existing law.¹⁹⁰

A more generous proposal comes from Ryan Jarratt, whose revision offers government distribution without login barriers and permission to download and print. It is not a read-only proposal. The ASC proposal goes further by expressly securing faithful sharing and independent publication of the complete current substantive ASC.¹⁹¹

¹⁸⁷ 5 U.S.C. § 552(a)(1) ; 1 C.F.R. pt. 51 .

¹⁸⁸ CCC, 44 F.3d at 74; 15 U.S.C. §§ 7219(c)(1), (j) .

¹⁸⁹ *Practice Management*, 121 F.3d at 519.

¹⁹⁰ Pro Codes Act, H.R. 4072, 119th Cong. (2025) (as introduced June 23, 2025), URL: <https://www.govinfo.gov/content/pkg/BILLS-119hr4072ih/pdf/BILLS-119hr4072ih.pdf> (visited on 09/12/2026); Pro Codes Act of 2026, S. 4145, 119th Cong. (2026) (as introduced March 19, 2026), URL: <https://www.govinfo.gov/content/pkg/BILLS-119s4145is/pdf/BILLS-119s4145is.pdf> (visited on 09/12/2026).

¹⁹¹ Ryan Jarratt, *An Updated Pro Codes Act: Enhancing Public Access to Privately Copyrighted Laws*, 125 Columbia Law Review 1735, 1762–63, 1768–71 (2025), URL: <https://www.columbialawreview.org/content/an-updated-pro-codes-act-enhancing-public-access-to-privately-copyrighted-laws/> (visited on 09/11/2026).

Legislation should define coverage through the recognized authoritative framework, with express exclusions, version rules, and treatment of existing agreements. Limiting coverage to separately incorporated paragraphs would miss GAAP's integrated legal role. Extending it to every private work mentioned anywhere in law would exceed the case developed here.

6.9 Judicial relief

Negotiation and legislation could secure access without requiring a publisher to litigate. Until they do, a publisher facing an infringement or contract claim can defend the edition it made. It may also seek a declaration before publication if it has a concrete plan and a live dispute with FAF. The Declaratory Judgment Act does not permit a court to approve public access in the abstract.¹⁹²

MedImmune rejected a rule that a licensee must first breach its agreement to challenge the rights asserted against it. The dispute must still be substantial, immediate, and real. For an ASC edition, that means identifying the text and versions to be published, the proposed uses, the publisher's acquisition route, any terms it accepted, and the position FAF has taken. Silence from FAF neither grants permission nor creates a case for a court to decide.¹⁹³

That record would let a court address copyright in the selected text, fair use of the edition, and any enforceable promise made in obtaining it. A request for preliminary relief would also require the court to assess that remedy on its own terms; an interim ruling would not settle the final merits. The same specificity that makes a judicial dispute concrete should guide the edition offered to readers.

6.10 Publishing for public use

A public edition must let a reader tell what rule governed and when. The publisher should identify its source and release date, preserve notices, separate ASC text from its own explanation, and keep prior versions and corrections visible. It should distinguish current guidance from a dated Topic formally incorporated into a federal rule. Claims of completeness, currency, and accuracy must reflect what the publisher has checked, and an unofficial edition should say so plainly.

Accurate presentation is part of public access. A reader preparing a filing or checking an earlier report needs the correct text and effective date. The Second Circuit's *ICC v. UpCodes* decision shows a further risk: claims about the accuracy of a legal-text service and its integration of amendments supported a false-advertising suit. The decision did not resolve copyright, but it makes unsupported assurances about an edition a legal as well as a practical problem.¹⁹⁴

¹⁹² Creation of remedy, 28 U.S.C. § 2201 (2024), URL: <https://www.govinfo.gov/content/pkg/USCODE-2024-title28/pdf/USCODE-2024-title28-partVI-chap151-sec2201.pdf> (visited on 09/12/2026).

¹⁹³ *MedImmune, Inc. v. Genentech, Inc.*, 549 U.S. 118, 127, 136–37 (2007), URL: <https://www.govinfo.gov/content/pkg/USREPORTS-549/pdf/USREPORTS-549-118.pdf> (visited on 09/12/2026).

¹⁹⁴ *International Code Council, Inc. v. UpCodes Inc.*, 43 F.4th 46, 57–64 (2d Cir. 2022) (Sack, J., Nos. 21-826, 21-827), URL: <https://www.courtlistener.com/opinion/7684543/intl-code-council-v-upcodes/> (visited on 09/11/2026).

An accurate edition cannot cure an unlawful acquisition or a separate promise the publisher must honor. It can make a lawful public use reliable for the people who depend on it. Federal law repeatedly asks them to use the ASC, including in regulations that incorporate its text. FAF's personal-use viewer does not grant permission for the professional work those rules require. That is the gap public delivery must close.

7. CONCLUSION

Federal law does more than mention GAAP in passing. The inventory in this Article records 785 CFR section or appendix citations and 83 U.S. Code section citations across reporting, banking, lending, education, and other federal programs. Some impose general conformity duties; three Education Department rules formally incorporate identified ASC material. Those incorporations fix particular editions. They do not exhaust the need for the current rulebook that other GAAP duties create. Scope rules, exceptions, and effective dates determine which provisions govern a given report, so a reader needs the framework before knowing which answer it gives.

FAF's free viewer serves a narrower purpose than that work. Its license grants personal, noncommercial use, while controllers prepare required statements, auditors test them, and advisers explain them to clients. Those readers can buy access through licensed services or ask FAF for permission. Both choices leave the public without an independent right to preserve, share, and check the rules that federal law makes consequential. Every citizen is presumed to know the law, and that presumption rests on free access to it. A grant that excludes the professional inquiry through which organizations identify their duties cannot by itself establish adequate access to those rules.¹⁹⁵

The three formally incorporated Education Department rules give identified ASC material direct legal effect. The broader conformity duties select the current framework, including the rules that decide what applies to each entity. On that record, faithful publication of the complete substantive ASC serves the public-law purpose recognized in the standards cases. Fair use permits the current edition in full: its scope and timing rules make a smaller selection unreliable, and the public need for today's binding rules outweighs substitution of some licensed copies. The publisher's acquisition method and any accepted promise still affect who FAF can sue under contract. They do not make the personal-use viewer adequate for professional compliance.

Agency publication duties can secure identified incorporated editions. SEC oversight, negotiation, and legislation can establish durable access without requiring each publisher to litigate. These remedies serve different parts of the problem. None justifies a system in which government requires an accounting rule while a private license withholds permission for its ordinary professional use.

The teacher should be able to put the rule on a slide. The adviser should be able to link to the paragraph behind an opinion. The auditor should be able to keep the version used for a past report. These are ordinary ways to know and apply accounting

¹⁹⁵ *Georgia*, 590 U.S. at 265.

law. The complete current substantive ASC and past editions must be available on terms that permit those uses.

The author intends to help address this problem by publishing a free, annotated reader of the ASC for students.

A. APPENDIX: FEDERAL GAAP REFERENCE CENSUS

The census records federal references to GAAP, FASB, and the Codification as of the collection date. Its citations serve different legal purposes, from defining a term to incorporating specified ASC text. The conclusions in Section 3 come from reading the instruments and tracing their connection to the authoritative framework. The inventory locates those instruments and shows federal reliance beyond issuer reporting. It covers federal sources; the state and professional requirements discussed in Section 3 lie outside its counts.

A.1 Sources and classification

The September 11, 2026 collection used the electronic Code of Federal Regulations search and full-text services, and the Government Publishing Office’s govinfo search service. The statutory search used the 2024 Code collection, with separately identified manual additions. The regulatory collection used available title-specific issue dates. Retrieval on a common day does not mean every underlying source had been updated through that day.¹⁹⁶

The primary exact-phrase queries were generally accepted accounting principles, GAAP, Financial Accounting Standards Board, FASB, Accounting Standards Codification, and FASB ASC. Variant queries tested U.S. GAAP and longer or reordered forms of the accounting-principles phrase. The request files preserve the quoted search strings. Variant searches were a limited check for missed phrasing, not proof that the search found every relevant provision.

The regulatory search returns historical change events. The collection pipeline therefore removed repeated hits using the title, structure type, section, part, and appendix identifiers before fetching full section text. It extracted matching sentences and assigned preliminary categories through text-pattern rules. Mandatory language and compliance phrases produced binding candidates; definitions and permissive language received different labels. A section-level priority rule selected a primary category where several kinds of sentence appeared. These preliminary labels organize research. Legal classification requires reading each provision’s scope, exceptions, and effective dates.

The table is derived from the unique citation and title fields and the section-level classification in the preserved census files. Agency groupings come from chapter headings, with a title fallback. Some headings describe subjects rather than distinct agencies. The resulting count describes chapter-based groupings rather than separate regulators imposing GAAP duties.

¹⁹⁶ *eCFR Search API, v1*, Office of the Federal Register / Government Publishing Office, 2026, URL: <https://www.ecfr.gov/api/search/v1/results> (visited on 09/11/2026); *eCFR Versioner API, v1 (full section text)*, Office of the Federal Register / Government Publishing Office, 2026, URL: <https://www.ecfr.gov/developers/documentation/api/v1> (visited on 09/11/2026); *govinfo Search API*, U.S. Government Publishing Office, 2026, URL: <https://api.govinfo.gov/search> (visited on 09/11/2026).

TABLE 2: Federal GAAP references by source and preliminary classification

Measure in the frozen collection	Count
Distinct CFR section or appendix citations	785
CFR titles represented	39
Chapter-based agency groupings	92
CFR citations classified as binding candidates	472
CFR citations classified as definitions	70
Distinct USC citations, including manual additions	83
USC titles represented	16
USC citations classified as binding candidates	73

A.2 Review and examples

Source review covered an initial set of provisions and a further sample. The credit union definition in 12 C.F.R. § 702.2 is an example of a directly examined accounting dependency. The Education Department’s incorporation clauses provide a different legal route. Those clauses identify Topic 850 in sections 668.23(i) and 668.175(i), and Topic 205 and Update 2016-02 in section 668.172(e).¹⁹⁷

A.3 Selected federal provisions

Table 3 expands the body table with provisions read against their primary text. Each row identifies the accounting task and its legal scope. General conformity duties, definitions, accounting inputs, and specific incorporations appear separately so readers can see what each provision does. The tax examples come from the statutory research discussed in Section 3; they are not included in the frozen statutory census.

TABLE 3: Federal provisions assign GAAP different roles in reports, costs, payments, and taxes

Provision and setting	Accounting requirement	Scope or exception
17 C.F.R. § 210.4-01(a)(1)–(2) SEC financial statements	Departures from GAAP make filed statements presumptively misleading or inaccurate. ¹⁹⁸	The SEC can provide otherwise. Eligible foreign private issuers may use IFRS as issued by the IASB.
17 C.F.R. § 210.8-01(a) Smaller reporting companies	Financial statements must follow U.S. GAAP. ¹⁹⁹	Covers the defined smaller reporting company and specified predecessor or acquired-business statements.

Continued on next page

¹⁹⁷ 12 C.F.R. § 702.2 ; 34 C.F.R. § 668.23 ; 34 C.F.R. § 668.172 ; 34 C.F.R. § 668.175 .

¹⁹⁸ 17 C.F.R. § 210.4-01(a)(1)–(2) .

¹⁹⁹ General requirements for Article 8, 17 C.F.R. § 210.8-01(a) (2020) (eCFR text as of title 17 issue date 2026-09-08; an amendment published at 89 Fed. Reg. 21912 was delayed indefinitely at 89 Fed. Reg. 25804), URL: <https://www.ecfr.gov/current/title-17/section-210.8-01> (visited on 09/11/2026).

Table 3 (continued)

Provision and setting	Accounting requirement	Scope or exception
17 C.F.R. § 240.17a-5(d)(2)(i) Brokers and dealers	Enumerated annual financial statements must follow U.S. GAAP. ²⁰⁰	The reporting rule specifies which statements and formats must follow GAAP.
12 U.S.C. § 1831n(a)(2) Insured bank regulatory reports	Accounting principles for required reports must be uniform and consistent with GAAP. ²⁰¹	Supervisory departures must be no less stringent; federal statutory requirements also govern.
12 U.S.C. § 1831m(b)(1), (d)(2)(A), (j) Insured bank annual accounts	Requires GAAP annual statements and an accountant's opinion on fair presentation under GAAP. ²⁰²	Applies to institutions covered by the statutory and implementing regulatory asset thresholds.
12 U.S.C. § 1782(a)(6)(C); 12 C.F.R. § 702.2 Insured credit unions	Congress requires GAAP-consistent reporting principles; the capital rule defines GAAP as the principles set out in the ASC. ²⁰³	The statute permits no-less-stringent substitutes and provides a small-institution exception. The ASC definition governs the capital rule.
12 C.F.R. § 621.2; 12 C.F.R. § 621.3(a)–(b) Farm Credit institutions	Requires accrual records and GAAP financial reports. The GAAP definition names FASB and other recognized authoritative sources. ²⁰⁴	Statutory and regulatory directions can alter the treatment. Reports include those to shareholders, management, and the regulator.
13 C.F.R. § 120.463(a)–(b) SBA Supervised Lenders	Requires accrual books under FASB GAAP and an annual audit opinion addressing GAAP compliance. ²⁰⁵	SBA Regulatory Accounting Principles supplement GAAP. The rule covers the defined lender class.

Continued on next page

²⁰⁰ Reports to be made by certain brokers and dealers, 17 C.F.R. § 240.17a-5(d)(2)(i) (2013) (eCFR text as of title 17 issue date 2026-09-08), URL: <https://www.ecfr.gov/current/title-17/section-240.17a-5> (visited on 09/11/2026).

²⁰¹ 12 U.S.C. § 1831n(a)(2) .

²⁰² 12 U.S.C. §§ 1831m(b)(1), (d)(2)(A), (j) .

²⁰³ 12 U.S.C. § 1782(a)(6)(C) ; 12 C.F.R. § 702.2 .

²⁰⁴ 12 C.F.R. §§ 621.2–621.3 .

²⁰⁵ 13 C.F.R. § 120.463(a)–(b) .

Table 3 (continued)

Provision and setting	Accounting requirement	Scope or exception
2 C.F.R. § 200.403(e) Federal award costs	Costs must be determined under GAAP to qualify as allowable under the general rule. ²⁰⁶	The rule preserves specified exceptions for state and local governments and Indian Tribes. Other allowability conditions remain.
31 U.S.C. § 7502(e)(1) Single audits of federal awards	The auditor must determine whether statements fairly present the entity's finances under GAAP. ²⁰⁷	Applies within the Single Audit Act's coverage; the Act determines which recipients must obtain an audit.
29 U.S.C. § 1023(a)(3)(A) Employee benefit plan reports	Requires an accountant's opinion on whether annual statements and schedules are fairly presented under consistently applied GAAP. ²⁰⁸	Plans exempt from annual reporting are excluded; simplified reports and specified certified statements receive separate treatment.
10 U.S.C. § 3802(c) Defense performance payments	A contractor's accounting system must comply with GAAP to receive performance-based payments. ²⁰⁹	The provision conditions performance-based payments on GAAP compliance without assigning audit authority.
48 C.F.R. § 31.201-2(a)(3) Federal contract cost allowability	Applies Cost Accounting Standards when applicable; otherwise uses GAAP and practices appropriate to the circumstances. ²¹⁰	Reasonableness, allocability, contract terms, and other limits also determine whether a cost is allowable.

Continued on next page

²⁰⁶ Factors affecting allowability of costs, 2 C.F.R. § 200.403(e) (2024) (Uniform Guidance; eCFR text as of title 2 issue date 2026-08-18), URL: <https://www.ecfr.gov/current/title-2/section-200.403> (visited on 09/11/2026).

²⁰⁷ Audit requirements; exemptions, 31 U.S.C. § 7502(e)(1) (1996) (Single Audit Act; OLRC prelim edition), URL: <https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title31-section7502&num=0&edition=prelim> (visited on 09/11/2026).

²⁰⁸ Annual reports, 29 U.S.C. § 1023(a)(3)(A) (1974) (ERISA § 103; OLRC prelim edition), URL: <https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title29-section1023&num=0&edition=prelim> (visited on 09/11/2026).

²⁰⁹ 10 U.S.C. § 3802(c) .

²¹⁰ 48 C.F.R. § 31.201-2(a)(3) .

Table 3 (continued)

Provision and setting	Accounting requirement	Scope or exception
48 C.F.R. § 9903.201-9(a) Contract accounting changes	Exempts specified changes aligning operating revenue with GAAP from ordinary contract price and cost adjustments. ²¹¹	The preamble explains the ASC 606 basis. The operative provision says GAAP and limits the exemption to defined accounting practices.
34 C.F.R. § 668.23(d)(1), (i) Student-aid financial statements	Requires accrual GAAP statements and related-entity disclosures based on ASC 850; formally incorporates that Topic. ²¹²	The incorporated edition is dated September 10, 2018. The regulation demands disclosures beyond ASC 850 itself.
34 C.F.R. § 668.172(c)–(e) Student-aid financial ratios	Uses ASC 205 for discontinued operations and ASU 2016-02 (Topic 842) for leases; formally incorporates specified versions. ²¹³	Different rules apply to leases entered before December 15, 2018. The ratio calculation makes specified exclusions and adjustments.
34 C.F.R. § 668.175(d)(2)(i), (i) Alternative student-aid financial standards	Uses ASC 850 to identify related entities for reportable events; formally incorporates that Topic. ²¹⁴	Concerns the alternative financial-responsibility regime and its reporting conditions; the incorporated edition is dated September 10, 2018.
28 C.F.R. § 58.8(h) Chapter 11 periodic reports	Requires GAAP and identifies ASC 852, Reorganizations, as an example for supporting documents. ²¹⁵	Preserves different prepetition accounting standards and modifications by the United States Trustee or court order.
47 C.F.R. § 32.16 Telecommunications accounts	Requires records and accounts to reflect new FASB standards consistently with GAAP. ²¹⁶	Changes take effect after notice unless the FCC objects; state ratemaking follows its own authority.

Continued on next page

²¹¹ Cost Accounting Standards Board, Office of Management and Budget, *CAS Revenue and Lease Rule*, supra note 61, at 43942, 43946.

²¹² 34 C.F.R. § 668.23(d)(1), (i) .

²¹³ 34 C.F.R. § 668.172(c)–(e) .

²¹⁴ 34 C.F.R. § 668.175(d)(2)(i), (i) .

²¹⁵ Uniform periodic reports in cases under chapter 11 of title 11, 28 C.F.R. § 58.8(h) (2020) (eCFR text as of title 28 issue date 2026-09-01), URL: <https://www.ecfr.gov/current/title-28/section-58.8> (visited on 09/11/2026).

²¹⁶ Changes in accounting standards, 47 C.F.R. § 32.16 (2002) (eCFR text as of title 47 issue date 2026-09-03), URL: <https://www.ecfr.gov/current/title-47/section-32.16> (visited on 09/11/2026).

Table 3 (continued)

Provision and setting	Accounting requirement	Scope or exception
49 C.F.R. § 1200.2 Carrier accounts	Establishes agency circulars and rulemaking to apply new FASB standards to carrier accounts and reports. ²¹⁷	The agency decides which standards are appropriate. Here “ASC” means Accounting Series Circular, not the Codification.
46 C.F.R. § 232.2(a)–(b) Maritime contractors	Requires covered contractors to conform accounting policies and reporting systems to GAAP, expressly naming FASB. ²¹⁸	The rule applies within the covered maritime contracting program. Its description of FASB as part of AICPA is inaccurate.
26 U.S.C. § 451(b)(1)–(4) Tax recognition of revenue	Uses applicable financial-statement revenue in timing taxable income; the statutory statement hierarchy includes GAAP statements. ²¹⁹	Applies to covered accrual-method taxpayers, with exceptions and special-method rules. It draws timing inputs from the applicable financial statement.
26 U.S.C. § 56A(a)–(c) Corporate alternative minimum tax	Starts with net income or loss on the applicable financial statement and makes statutory adjustments. ²²⁰	The statement definition incorporates section 451(b)(3). This is an adjusted tax base, not an independent command that every corporation use the ASC.

A.4 Coverage limits

The main limitations concern missed provisions and overinclusive labels. Exact-phrasal queries can miss different wording. Regulatory appendices and some sections lack a successful full-text retrieval in this collection; their rows are marked as based only on search excerpts. Historical search matches require confirmation that the matching language remains in force. Automatic sentence splitting can break citations or lists incorrectly. Mandatory words can occur in a passage whose duty is narrower than the

²¹⁷ Adoption of generally accepted accounting principles issued by the Financial Accounting Standards Board (FASB), 49 C.F.R. § 1200.2 (2018) (eCFR text as of title 49 issue date 2026-09-09), URL: <https://www.ecfr.gov/current/title-49/section-1200.2> (visited on 09/11/2026).

²¹⁸ General instructions, 46 C.F.R. § 232.2(a)–(b) (2004) (Maritime Administration; eCFR text as of title 46 issue date 2026-09-01), URL: <https://www.ecfr.gov/current/title-46/section-232.2> (visited on 09/11/2026).

²¹⁹ 26 U.S.C. § 451(b)(1)–(4).

²²⁰ 26 U.S.C. § 56A(a)–(c).

classifier suggests. A reference may permit GAAP without requiring it. Each legal use of a row therefore needs its own source check.

The statutory collection is known to under-cover Title 26: it contains no Internal Revenue Code provisions, including the tax-accounting provisions examined separately in Section 3. Its 83 citations across 16 titles describe a collection that excludes the Internal Revenue Code. The tax argument rests on the statutes discussed in Section 3.

The statutory collection also has a date limitation. The manual additions include a provision enacted after the annual source edition, but there was no complete search of all later enactments. The GENIUS Act entry is enacted law whose relevant requirement was not yet effective at the research cutoff. The recorded total counts collected citations as of the research cutoff, including that future requirement.²²¹

The Federal Register series counts documents mentioning selected phrases by year. Its unit is the document. One document may discuss many provisions, while a proposed rule remains subject to change. The series counts documents mentioning GAAP; legal effect depends on each instrument's final text.²²²

A.5 Codification composition

The frozen parsed collection records 97 topics, 540 subtopics, and 23,898 paragraphs. Its labels identify 437 SEC sections containing 921 paragraphs, and it records 1,287 glossary terms. These measures describe the frozen collection as dated. The public aggregate table records the derivations; the underlying standards text is withheld. Copyright ownership and the authoritative status of particular items require separate analysis.²²³

The public research repository provides the derived inventory, source locations, classification rules, a count-checking script, and file hashes for the released files. Restricted source collections and third-party publications are excluded. Readers can reproduce the inventory counts from the released tables. The collection tools and source archive are outside the release. Codification composition is supplied as aggregate counts, without the underlying standards text. Confirming legal classifications requires reading the cited instruments. The arguments about the rulebook and fair use rest on that legal analysis.

²²¹ Requirements for issuing payment stablecoins, 12 U.S.C. § 5903(a)(10)(A)(i) (2025) (GENIUS Act § 4, Pub. L. No. 119-27, 139 Stat. 419, 425 (July 18, 2025). DELAYED EFFECTIVE DATE: the earlier of 18 months after July 18, 2025 (Jan. 18, 2027) or 120 days after final implementing regulations. No final implementing regulation existed as of Sept. 11, 2026.), URL: <https://uscode.house.gov/view.xhtml?req=granuleid:USC-prelim-title12-section5903&num=0&edition=prelim> (visited on 09/11/2026).

²²² *Federal Register API, v1 (documents.json)*, Office of the Federal Register / National Archives and Records Administration, 2026, URL: <https://www.federalregister.gov/api/v1/documents.json> (visited on 09/11/2026).

²²³ Michael J. Bommarito II, *Accounting Standards Codification: Aggregate Composition Dataset, September 2026*, September 2026, URL: <https://github.com/mjbommar/closing-the-gaap/blob/main/data/codification-composition.csv>.